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Confidential/Registered

1

[confidential]

Date

July 22, 2024

Our reference

[confidential]

Contact person

[confidential]

Subject

Decision to impose an administrative fine

Dear [confidential],

The Authority for Personal Data (AP) has decided to impose an administrative fine of € 290,000,000 on Uber Technologies Inc. and Uber B.V. (hereinafter collectively referred to as Uber). The AP is of the opinion that Uber has violated Article 44 of the General Data Protection Regulation (GDPR), as Uber allowed the transfer of personal data to the United States without providing appropriate safeguards as stipulated in Chapter V of the GDPR.

The AP believes that imposing an administrative fine on Uber is not only appropriate but also necessary. The AP has determined that the intended purpose of Article 44 GDPR, namely the continuity of the high level of protection of the GDPR in the transfer of personal data to third countries, has not been guaranteed by Uber. The AP considers this serious and has therefore proceeded to enforcement against Uber.

This decision explains the administrative fine. It will successively address the reasons for the investigation, the facts, the established violation, and the amount of the fine. Finally, the dictum will follow.

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1. Reason for investigation

1.
Uber is an internationally operating company that acts as an intermediary between taxi drivers and passengers. Passengers use the general Uber App (for mobile phones) or possibly a browser to book a ride. Drivers use the Uber Driver App (hereinafter: driver app) to offer rides.

2.
Creating an account for drivers is mandatory for the use of the driver app. Drivers are rated by their customers after a ride and are paid by Uber for the services rendered.

3.
On June 12, 2020, the Commission Nationale de l'Informatique et des Libertés (CNIL) received a complaint from the French non-governmental organization Ligue Des Droits De L'homme Et Du Citoyen (LDH, hereinafter: complainant) on behalf of 21 Uber drivers. Subsequently, an additional 151 Uber drivers joined the complaint, bringing the total to 172 complainants. LDH then submitted a supplementary complaint to the CNIL on September 29, 2020, which was forwarded to the AP on January 11, 2021.

4.
In this supplementary complaint, the complainant asserts that Uber's legal position is unclear following the so-called SCHREMS II ruling of the Court of Justice of the European Union (hereinafter: CJEU). In

the SCHREMS II ruling, the CJEU states that there is no equivalent level of protection in the United States for the transfer of personal data from the European Union (hereinafter also: EU) to the United States. As a result, the adequacy decision with the United States (“Privacy Shield”) was no longer valid as an instrument for the transfer of personal data. The CJEU indicated that it was still possible to transfer data to the United States using “Standard Contractual Clauses” (SCC), provided that sufficient additional measures are taken to ensure an equivalent level of protection.¹

5.

On April 16, 2021, the AP formally notified Uber in writing that it had initiated an investigation following the complaints filed by French Uber drivers. The investigation focused on whether Uber complies with the requirements set out in Chapter V of the GDPR for the transfer of personal data of drivers from the EU to the United States.

6.

The AP subsequently established a violation of Article 44 of the GDPR in its investigation, as Uber allowed transfers of personal data to take place without providing appropriate safeguards as stipulated in Chapter V of the GDPR. The investigation report was sent to Uber by letter dated April 13, 2023. Uber provided its comments on the investigation report in a letter dated June 9, 2023. On July 5, 2023, Uber elaborated on its comments during a hearing at the AP's office.

1 CJEU July 16, 2020 – Data Protection Commissioner v. Facebook Ireland Ltd. and Maximillian Schrems, C-311/18.

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2. Facts and circumstances

2.1

Introduction

7.

Uber is the name of an electronic platform developed by Uber Technologies Incorporated (hereinafter UTI). The main headquarters of UTI is located in San Francisco, United States. The Uber platform is represented in the European Economic Area (hereinafter: EEA) by Uber B.V. (hereinafter UBV). In the cities where Uber operates, Uber enables passengers to order transportation services via the Uber platform. One can request a ride with Uber in various European cities and countries, and Uber has drivers who work in those territories.²

8.

According to Uber's privacy statement, UBV and UTI are joint controllers for the processing of personal data of Uber drivers in the EEA.³ Their responsibilities regarding compliance with the obligations under the GDPR are described in an agreement.⁴

9.

UBV has several data processing agreements with other subsidiaries of Uber in EEA countries. For example, with respect to Uber France SAS, Uber's subsidiary in France, UBV is designated as the data controller and Uber France SAS as the processor.⁵ The data processing agreement states that within this mutual relationship, UBV is the entity that provides the personal data of Uber drivers to other subsidiaries of Uber in the EEA. However, in an explanation, Uber has indicated that while UBV is responsible for the personal data of Uber drivers in the EEA, technically these are made accessible by UTI.⁶

10.

Uber drivers in the EEA must enter into a contract with UBV to become a driver for Uber.⁷

2.2

Uber drivers and the driver app

11.

Uber describes drivers as “users of the platform who provide transportation services individually or through partner transportation companies using the Uber Driver application.”⁸ To become an Uber driver, one must

2 Document 20, Locations of Uber.

3 The Uber privacy statement is available at:

[https://www.uber.com/legal/en/document/?name=privacy-notice&country;=netherlands\(=en](https://www.uber.com/legal/en/document/?name=privacy-notice&country;=netherlands(=en)

4 Uber Data Sharing Agreement between Uber B.V. and Uber Technologies Inc. Scope: Uber Personal Data & Employee Data concluded on August 6, 2021.

5 Document 17, Response to information request 2, Annex Processing Agreement Uber France SAS.

6 See the minutes of the hearing held on July 5, 2023.

7 Document 4, Uber additional terms for Drivers.

8 In response to the information request of July 7, 2021, Uber B.V. provided their administration regarding Driver Personal Data Processing Activities to the AP on August 9, 2021. The definition of this is included under ‘III. Categories of Data Subjects Whose Personal Data Uber Processes’.

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to create an account on the driver app.⁹ To gain access to the platform, the driver must also accept the ‘Conditions for Independent Uber Partners’.¹⁰ These conditions may be unilaterally modified by Uber.¹¹ Once the driver has met the conditions and logged into the app, they can go ‘online’. The driver can then accept, refuse, or ignore ride requests made by passengers nearby. A driver who is online but decides to ignore a requested ride three times in a row will be automatically logged out of the platform. However, the driver will still retain access to other features on the platform. It should be noted that a driver has the option to cancel a ride they have already accepted. Regarding the acceptance, ignoring, and cancellation of rides by the Uber driver, Uber keeps track of the percentage of rides that are canceled by a driver. [Confidential].¹² After the ride is completed, the passenger (the customer) is asked to rate the driver on a scale from 1 to 5. An average score below the threshold could (previously) lead to exclusion from the platform.

12.

When a ride request is made, the driver receives information about the type of ride being requested (Uber X, Uber Green, etc.), the name of the passenger, the user rating, the pickup location (including the distance to the driver), the destination location, and the estimated duration of the ride. Additionally, the Uber driver can contact the passenger via SMS or phone call. The passenger can, in turn, request a specific type of ride from one location to another and receives a price quote for the ride. Upon agreeing to the ride price, the information about the driver who accepted the ride is shown to the passenger. This information includes, but is not limited to, the driver's photo, name, rating, the type of ride the driver provides, the live location, the type of car, the license plate number, and any messages and/or phone calls from the driver.

13.

Uber further assigns various classifications to Uber drivers, such as Gold, Platinum, or Diamond. Based on the classification, a driver receives certain privileges on rides that can be profitable.¹³ To achieve a specific classification, a driver must meet the following criteria: 1) a rating of 4.85 out of 5; 2) an acceptance rate of 85% or higher; and 3) a cancellation rate of 4% or lower. Additionally, Uber has a points system through which a driver can earn points that contribute to their classification.¹⁴

14.

Disputes between a passenger and a driver, for example regarding the ride price, are handled by Uber. In such cases, Uber may unilaterally decide to refund the ride price (in whole or in part) to the passenger, after which the driver will receive a lower amount for the ride.¹⁵

9 General Terms of Use of Uber, available at:

[https://www.uber.com/legal/nl/document/?name=general-terms-of-use&country;=netherlands\(=nl, article 5.3 and onwards.](https://www.uber.com/legal/nl/document/?name=general-terms-of-use&country;=netherlands(=nl, article 5.3 and onwards.)

10 Document 4 and 'Conditions for Independent Uber Partners', updated on July 12, 2020.

11 General Terms of Use of Uber, available at:

[https://www.uber.com/legal/nl/document/?name=general-terms-of-use&country;=netherlands\(=nl, article 16.1.](https://www.uber.com/legal/nl/document/?name=general-terms-of-use&country;=netherlands(=nl, article 16.1.)

12 [confidential]

13 Ibid.

14 Ibid, r.o. 1.17.

15 Ibid, r.o. 1.16.

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15.

Finally, Uber can unilaterally decide to deny an Uber driver access to the Uber platform. The reasons for access denial include, for example, non-compliance with the rules, fraud, unacceptable behavior, or dangerous driving. However, an average rating below 4.5 out of 5 could (previously) also lead to exclusion from the platform.¹⁶

2.3

The processing activities

16.

Uber has a centralized IT infrastructure on the platform and the servers of UTI located in the United States. The personal data of Uber drivers located in the EEA is therefore processed in the United States. The AP has identified the following two relevant situations in its investigation, in which processing occurs that qualifies as transfers in the sense of the GDPR.

17.

In the first situation, personal data of Uber drivers located within the EEA is collected via the driver app and stored on a platform that is physically located in the United States.¹⁷ In addition to account and location data, other data may also be stored in the United States, depending on the legal regulations in a country, such as identification documents, criminal records, health data, and a taxi license.¹⁸

18.

The second situation concerns the exercise of GDPR rights by data subjects. UBV is responsible for assessing the scope of requests regarding the rights of data subjects and for communication with data subjects.¹⁹ UTI is responsible for providing personal data to UBV to respond to requests from data subjects. According to the AP, there is a structural exchange of personal data between UBV in the Netherlands and UTI in the United States. Firstly, personal data of Uber drivers, which are processed under the responsibility of UBV within the EEA, end up on the servers of UTI in the United States via the driver app and email (from the device in the EEA). Secondly, there is a structural exchange of personal data between UBV and UTI.

19.

The above situations are further elaborated by Uber as follows.²⁰

Situation 1

20.

The first situation relates to the driver app within which Uber drivers in the EEA share personal data with UTI via their smartphone. When the driver uses the app for the first time, it is

16 Ibid, r.o. 1.13.

17 See document 11, Response to information request 1, Appendix part International Data Flows, page 2. See also document 17, Response to information request 2, Appendix UBV-UTI Data Sharing Agreement, page 2 et seq.

18 See document 23, Requirements for drivers and document 17, Response to information request 2, Appendix 2012UBV ROPA. See also document 17, Response to information request 2, Appendix 2012UBV ROPA, page 2. The document mentions, among other things, "evidence of health or fitness to provide services."

19 See document 17, Response to information request 2, Appendix UBV-UTI Data Sharing Agreement, pages 2 and 3, "UBV shall be responsible for assessing the validity and the scope of requests for the exercise of data subject rights, and for responding to the data subjects."

20 See 'Uber's view on the research report and intention to enforce' dated June 9, 2023, pp. 19-26.

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the driver is asked to provide personal data such as his name, email address, and phone number. The data is then stored on UTI's servers in the United States. Uber indicates that in this situation, the driver provides his personal data directly to UTI without (technical) intervention from UBV or other European subsidiaries. This is confirmed in, among other things, the agreement between UTI and Uber B.V. regarding the responsibilities of both parties and other documentation provided by Uber.²¹

Situation 2

21.

The second situation concerns the rights of data subjects. More specifically, 1) the assessment of the scope of the request from data subjects regarding their rights under the GDPR, and 2) the communication with data subjects about the exercise of their rights.

22.

According to Uber, data traffic occurs from the moment the Uber driver submits a request (regarding his rights under the GDPR) until Uber responds to the request from the data subject. Uber further states that the data traffic between the data subject, UBV, and UTI depends on the specific request that a driver has submitted. Uber then provides a description of the standard procedures used in handling a request from a data subject.

23.

According to Uber, the first step in such a procedure is the manner in which the data subject makes the request. Uber provides drivers the opportunity to exercise their rights by:

- a) filling out the form in the driver app or on the Uber website;
- b) sending an email to Uber; or
- c) using other forms of communication (via a letter addressed to Uber or in a phone call with an Uber employee).

Ad (a)

24.

The driver app and the Uber website utilize the servers of UTI located in the United States. When an Uber driver wishes to exercise his rights under the GDPR directly through the driver app or the Uber website, the data flow related to the handling of such requests occurs (directly) via the smartphone or other device of the Uber driver located in the EEA, to the servers of UTI located in the United States. This is regardless of the entity to which the data subject chooses to direct their request. Uber states that at this stage, UTI is the only entity that receives the request, as the request is made to the platform

operated and managed by UTI.

Ad (b)

25.

An Uber driver may choose to exercise his rights by sending an email to an address within the uber.com domain (email address ending in uber.com). The email traffic of Uber uses

21 See document piece 17, Response to information request 2, August 9, 2021, page 16 et seq. and Appendix UBV-UTI Data Sharing Agreement, page 2 et seq.

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the IT systems of UTI located in the territory of the United States. Uber states that in this situation, there is only data traffic that occurs directly between the data subject (via their personal device) on EEA territory, to the systems of UTI located in the United States.

Ad (c)

26.

The Uber driver may choose to exercise their rights under the GDPR in another way, such as by mail or by phone. Uber indicates that these other methods account for only a small percentage of the requests made by Uber drivers in the European Union (less than 10 requests per year). If the Uber driver chooses to send a letter to the address of UTI in the United States or when the Uber driver calls an employee in the United States and expresses their wish to exercise their rights, then according to Uber, there is still direct data traffic from the driver located in the EEA to UTI in the United States.

27.

If the Uber driver chooses to send their request to UBV located in the EEA or another subsidiary located in EEA territory, according to Uber, there is direct data traffic between the driver and that entity. Uber reaches the same conclusion if the Uber driver chooses to communicate by phone with an employee of Uber located in the EEA. Upon receiving the request, the employee advises the Uber driver to submit their request in the driver app because this route allows for the fastest processing of the request. If the Uber driver chooses not to do this, the employee directly makes a note in the IT systems of UTI. Although these systems are located in the United States, the Uber employee (who is located in EEA territory) has remote access to them.

28.

In the case of letters, these are forwarded by UBV to UTI. The forwarding of the letter and the making of a note (of a phone conversation) is handled digitally by the UBV employee. The UBV employee connects via the browser on their computer to the Bliss Content system, which uses the servers of UTI in the United States. The content of the request made by the driver is described by the employee in this system. Uber states that in this situation, there is data traffic from the computer located in the EEA to the systems in the United States.

29.

To further clarify the data being processed, Uber states that an Uber driver exercising a right via the driver app or the website does not need to enter their personal data on the platform. Most Uber drivers are logged into the platform via their personal account. The data traffic that occurs when submitting the request consists of the specific request made by the driver (the data requested) and the 'Universally Unique Identifier' (UUID) linked to the Uber driver's account. Each account on the Uber platform is linked to a UUID that allows the Uber driver to be identified on the platform and the systems of Uber.

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30.

If the Uber driver is not logged into the platform (driver app or website), a request can be made on the driver app or website by providing information regarding the rights to be exercised, the name, email address, and phone number linked to the Uber driver's account. This information is necessary to link the request to the driver's UUID and to initiate the process for handling the driver's request. If the Uber driver makes the request via email, mail, or phone, the driver will be asked for the same type of information.

31.

The second step in the procedure is the preparation phase to respond to the request of the data subject. Most requests from data subjects are automatically processed through the self-service portal to which the Uber driver has access. The self-service environment is located on UTI's servers in the United States and has two functions: 1) 'Explore Your Data' which allows the Uber driver to view their personal data, and 2) 'Download Your Data' which allows an Uber driver to download a copy of their personal data. If the request can be fully processed using these functions in the self-service environment, all necessary personal data is automatically collected in UTI's systems in the United States. This data is then shared directly with the data subject without any intervention from an Uber employee. In this fully automated preparation, Uber states that there is no data traffic from the EEA to the United States.

32.

When the self-service environment cannot process the request due to questioning or complexity, an Uber employee must prepare the response to the driver's request (partially) manually. Uber notes that in the first four months of 2023, approximately 25 requests per month were handled in this manner.

33.

In the process of partially manually responding to the request, an employee of UBV must be able to view the request of the data subject. The employee does this by accessing the systems of UTI located in the United States via the browser on their computer that is in the EEA. Uber indicates that in this situation there is data traffic from the United States to the EEA, which includes the UUID number and the content of the driver's request.

34.

Uber indicates that depending on the type of request from the data subject, which type of personal data of the Uber driver needs to be collected to respond to the request. Because Uber has a centralized IT infrastructure on the platform and the servers of UTI located in the United States, the personal data of Uber drivers located in the EEA is processed in the United States. To respond to the request, the employee must collect data that is on UTI's servers. To gather the relevant personal data on the servers, the UBV employee must assess the scope of the data subject's request. After the scope is determined, the UBV employee accesses the relevant UTI systems via the browser on their computer that is in the EEA. The scope of the data subject's request—parameters that indicate the nature of the personal data—are entered into the search engine along with the UUID of the Uber driver by the respective employee. In UTI's systems

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is then searched for the personal data that meets the criteria entered into the search engine by the UBV employee. This process takes place entirely on the servers located in the United States, and it takes several hours before the results of the search are directly transferred to a spreadsheet on the

server in the United States. After the information has been transferred to the spreadsheet, the employee receives a notification that the requested information is ready. The UBV employee can then view the spreadsheet via the browser on their computer in the EEA.

35.

The UBV employee reviews the collected information and removes information that falls outside the scope of the driver's request. If the collected data does not yield the information that can be used to adequately respond to the request, the employee conducts a new search according to the previously described procedure. This procedure is repeated until the employee has the necessary personal information to adequately respond to the request. Uber notes that the relevant employee does not add any personal data to the spreadsheet themselves.

36.

Uber indicates that the data collection predominantly involves data traffic within the United States. It is further noted that the UBV employee only has access to the personal data stored on UTI's servers in the United States. Uber explicitly states that the UBV employee therefore has remote access to the personal data and that this data does not reside on the server or computer of the UBV employee located in the EEA. Only the input of the selection parameters is considered by Uber as data traffic from the EEA to the United States.

37.

The final step in the (partially manual) processing procedure of data subject rights is responding to the request made by the driver. When the aforementioned spreadsheet is filled with the personal data falling within the scope of the request, the spreadsheet is ready to be shared with the Uber driver. This step is carried out by the UBV employee who, from the browser on their computer, has access to the spreadsheet and the systems of UTI located in the United States. The relevant employee instructs the system to export the spreadsheet to the so-called 'file mailbox'. The data traffic associated with this process only concerns the data flow on the territory of the United States. Uber clarifies this further by stating that the 'file mailbox' is located on UTI's servers and that the spreadsheet, which is on UTI's servers, is exported from one system to another (but remains on UTI's server). Once the data has been sent to the 'file mailbox', it is opened by the UBV employee, who then makes it available to the Uber driver. More specifically, the 'file mailbox' sends a link to the Uber driver in the EEA, and the Uber driver can download the personal data contained in the spreadsheet via the link. According to Uber, this constitutes data traffic from the United States to the driver in Europe.

38.

Uber notes that there is a temporary exception to this process regarding data subject rights concerning payment receipts. If a payment receipt is part of a disclosure request from a driver, the UBV employee must obtain the payment receipt from the UTI servers.

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to download it to his computer located in the EEA. This document is then manually uploaded by the UBV employee to the 'file mailbox' on the servers in the United States. After this document has been uploaded, the UBV employee deletes the document from his computer. The data traffic involved concerns a transfer of personal data from the United States to the EEA and back to the United States. Uber notes that this method of handling payment proofs is temporary and that they expect this process to be aligned with the procedure described above regarding the handling of requests from data subjects within a few weeks.

2.4

Number of Uber drivers and GDPR requests from data subjects

39.

The AP has asked Uber about the number of registered Uber drivers in the EU and how often data subjects have exercised their GDPR rights.

40.

From August 6, 2021, to mid-February 2023, there were on average [confidential] drivers active in France and [confidential] drivers across the entire EU. As of February 17, 2023, there were a total of [confidential] active drivers in the EU.²²

41.

Between August 2021 and February 2023, Uber processed [confidential] access requests from drivers in the EU using the automatic 'download your data tool'. This allows drivers to download their personal data based on the generic categories offered by Uber in the 'download your data tool'. Uber has also processed [confidential] deletion requests for (former) drivers from the EU. Additionally, Uber states: "In addition to using the 'Download Your Data' tool, Uber processed [confidential] requests from French (former) drivers for a more extensive access request between August 6, 2021, and February 1, 2023."²³

2.5

The application of a transfer instrument by Uber

42.

Uber has stated the following regarding the transfer of personal data to third countries:

"For transfers of data subjects' data to third countries, Uber's standard practice is (and has been) to have standard contractual clauses (SCCs) in place when a third country has not been afforded an adequacy decision in order to ensure a high level of protection, and to conduct a 'third party risk management' assessment to identify potential risks and ensure data protection for its users' data."²⁴

43.

However, in 2021, Uber decided that no standard contractual clauses were necessary for the processing of personal data of EU drivers in the United States. Uber claims that there is no transfer involved and that due to the joint responsibility of UBV and UTI, Article 3 of the GDPR applies in full to the personal data processed in the United States.

²² See document 26, Response to information request 4, March 13, 2023. The AP asked Uber for the number of registered drivers in the EU. The AP provided several reference dates to get an impression of the number of drivers over a period. Uber provided figures for drivers who had completed at least one ride in the 28 days prior to a reference date.

²³ See document 30, Additional responses from Uber March 23, 2023.

²⁴ See document 17, Response to information request 2, August 9, 2021, page 6.

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With reference to the updated SCCs of the European Commission, Uber states the following: "In light of this, Uber revisited its joint controller agreement to delete the SCCs, and to clarify joint controller responsibilities. Therefore, Uber has adopted a new version of its joint controller agreement, in which the new regulatory requirements and relationship between UTI and UBV are reflected."

44.

The Data Sharing Agreement referred to by Uber has a version date of August 6, 2021. Based on Uber's statement, the AP establishes that Uber removed the standard contractual clauses for the transfer of personal data to third countries from the aforementioned agreement as of August 6, 2021. Uber had not implemented any other transfer instruments thereafter, such as binding corporate rules or a certification mechanism.

45.

On July 10, 2023, the European Commission adopted the adequacy decision 'EU-U.S. Framework for Data Protection'. Uber certified itself under the EU – U.S. Data Privacy Framework on November 27, 2023. Uber states the following in its privacy statement:

"When we transfer user data from the EEA, UK and Switzerland, we do so on the basis of the necessity to fulfill our agreements with users, consent, adequacy decisions regarding the country of transfer (available here, here or here), and transfer mechanisms such as the Standard Contractual Clauses adopted by the European Commission (and their approved equivalents for the UK and Switzerland), and the EU-U.S. Data Privacy Framework ("EU-U.S. DPF"), the UK Extension to the EU-U.S. DPF, and the Swiss-U.S. Data Privacy Framework ("Swiss-U.S. DPF"), as set forth by the U.S. Department of Commerce. [...] UTI has certified to the United States Department of Commerce that it adheres to (1) the EU-U.S. Data Privacy Framework Principles regarding the processing of personal data received from EEA member countries in reliance on the EU-U.S. DPF [...] In the event that the EU-U.S. DPF or the Swiss-U.S. DPF are invalidated, Uber will transfer data that is subject to these certifications in reliance on the other data transfer mechanisms described above."

3. Uber's Position

46.

The AP is of the opinion that Uber has violated Article 44 of the GDPR, as Uber allowed transfers of personal data to the United States from August 6, 2021, to November 27, 2023, while there was no valid adequacy decision and no appropriate safeguards were provided as stipulated in Chapter V of the GDPR. The AP summarizes Uber's position in Chapter 3. Chapter 4 follows with the legal justification of the AP for the violation and also includes the AP's response to Uber's position.

Application of Chapter V of the GDPR

25 Implementing Decision (EU) 2021/914 of the European Commission.

26 See dossier item 17, Response to information request 2, August 9, 2021, page 5.

27 See dossier item 17 Response to information request 2, Appendix UBV-UTI Data Sharing Agreement

28 See Articles 46 and 47 of the GDPR for a complete overview.

29 https://commission.europa.eu/document/fa09cbad-dd7d-4684-ae60-be03fcb0fddf_en

30 <https://www.dataprivacyframework.gov/list>

31 <https://www.uber.com/legal/nl/document/?name=privacy-notice&country;=france> (=en Date

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47.

Uber is of the opinion that Article 44 GDPR has not been violated, as Chapter V of the GDPR is not applicable to the processing under investigation. Firstly, according to Uber, Chapter V is not applicable because Article 3 GDPR is already applicable. Chapter V is intended to cover cases that fall outside the scope of Article 3 GDPR, so that the protection offered by the GDPR is not undermined. Since the data is already protected by the application of Article 3 GDPR, the simultaneous application of Article 3 GDPR and Chapter V GDPR is redundant and therefore meaningless.

48.

Secondly, Uber argues that Chapter V is subordinate to Article 3, and therefore cannot be applied simultaneously. According to Uber, an alternative interpretation would contradict the international obligations of the EU, particularly the WTO Agreement and the accompanying GATS Agreement. From these international commitments, it follows that member states may not treat non-European entities less favorably than European entities under the agreement. Jurisprudence has established that

derived Community law, including the GDPR, must be interpreted as much as possible in line with international law. A simultaneous application of Article 3 GDPR and Chapter V is contrary to the obligations of the EU under international law and the obligation to interpret derived Community law in accordance with international law. Therefore, the relationship between Article 3 GDPR and Chapter V GDPR must be interpreted in such a way that they cannot be applied simultaneously.

The concept of 'transfer'

49.

Uber asserts that the concept of 'transfer' is not defined by the GDPR. This was a deliberate choice by the European legislator, made despite objections and advice from various institutions such as the EDPS, the EECC, and the EDPB. Furthermore, European data protection authorities, including the AP, did not provide a definition of the concept until February 14, 2023, despite requests from various stakeholders. It was only on February 14, 2023, that the EDPB provided a definition of the concept of 'transfer', but besides the fact that it admits that it is an uncertain legal concept because the GDPR does not provide a definition, the EDPB's interpretation itself is merely one possible interpretation and is also non-binding. Moreover, the EDPB has requested the EC to further clarify the concept. The AP cannot rely on this single interpretation without further substantiation.

No transfer in the present case

50.

Uber further states that there is no transfer because, according to the EDPB guidelines, there must be a processor or controller acting as the exporter of the personal data, whereas in this case, it concerns data subjects who directly provide the personal data to UTI themselves. To the extent that it is argued that Uber exports the data because the drivers do so under the responsibility of UBV, this argument fails, as the AP introduces a new standard that does not follow from the guidelines and also not from the GDPR. Additionally, the argument fails because 1) the actual data transfer must be assessed, 2) the qualification as joint controllers does not imply that UBV itself makes the personal data available, and 3) the actual and legal division of responsibilities between UBV and UTI does not imply that UBV is responsible for sharing personal data with UTI when a driver does so.

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Transfer Instruments and Exceptions

51.

Uber asserts that even if there were a transfer, this transfer is in accordance with Chapter V of the GDPR. First, Uber implemented standard contractual clauses in the Data Sharing Agreement (DSA) between the joint controllers UBV and UTI until August 6, 2021, as a non-mandatory safeguard for the data traffic under investigation. Uber has in good faith removed the standard contractual clauses from this agreement because on June 4, 2021, the EC, with the introduction of new standard contractual clauses, stated in its considerations that the new standard contractual clauses may not be used insofar as the processing by the importer falls within the scope of Article 3(2) GDPR. Furthermore, the lack of any initiatives from the EC in developing standard contractual clauses specifically for importers already covered by the GDPR indicates that the EC has so far maintained the position that the application of Article 3 GDPR excludes the application of Chapter V GDPR. According to Uber, it is clear that no standard contractual clauses were available to Uber in the meantime. In addition to the standard contractual clauses, Uber claims that all alternative transfer instruments are currently not realistic alternatives.

52.

Second, any transfer of personal data by Uber is lawful, as Uber believes it can rely on the exception of Article 49(1)(b) and (c) GDPR. Uber argues that a transfer based on Article 49 GDPR does not require that the level of protection in the third country broadly corresponds to the level of protection

guaranteed within the EU by the GDPR. According to Uber, merely meeting the conditions as mentioned in Article 49 GDPR is sufficient. This follows, among other things, from the wording of the GDPR and from Recital 202 of Schrems II.

53.

In any case, according to Uber, it is not required for both exceptions, as the AP states, that the transfer is "incidental." Although this does follow from Recital 111 of the GDPR, it contradicts the text of the GDPR itself, the case law of the CJEU, and the guidance from the Dutch government. First, "incidental" is not found in the text of the GDPR. Moreover, it states that Article 49 can also be used for a series of transfers. Second, recitals in the GDPR do not create a new norm and have no independent legal force, as also confirmed by standard case law from the CJEU. Third, judges do not use "incidental" as a condition, and Article 49 should be interpreted broadly in the context of data transfers within companies or among a group of companies. Fourth, the guidance from the Ministry of Justice and Security does not mention "incidental" as a condition. Additionally, for grounds (b) and (c), it is required that the transfer is necessary, but this, as follows from Dutch case law, does not need to be closely and substantially necessary.

54.

Uber argues that if it is assumed that there is an international transfer, it can rely on Article 49(1)(c) for the situation where drivers make GDPR requests and on Article 49(1)(b) for cases where drivers use the driver app.

55.

Regarding the situation where GDPR requests are made by drivers, this transfer meets all the conditions of Article 49(1)(c) GDPR. In particular, because the transfer

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necessary for the conclusion or execution of an agreement in the interest of the data subject concluded between the data controller and another natural or legal person. The agreement is concluded in the interest of the data subject, as the DSA regulates and facilitates the GDPR rights that constitute and support the data protection of drivers, which also follows from Article 26 GDPR and the accompanying Recital 79. The transfer is further necessary for the execution of the agreement. The transfer takes place within the framework of the DSA and is directly related to the completion of access requests. Furthermore, the data transfer is unavoidable due to Uber's centralized IT infrastructure, which in turn is crucial for Uber's specific service provision as well as for the global application of Uber's technical and organizational GDPR measures. Finally, according to Uber, there is very little data transfer in the context of access requests (only 25 per month).

56.

Regarding the situation in which drivers use the driver app, the transfer meets all the conditions of Article 49(1)(b), and in particular the condition that there is a transfer that is necessary for the execution of an agreement between the data subject and the data controller (UBV and UTI via the DSA). The necessity follows, according to Uber, from being able to fulfill the agreement between UBV and the driver. Uber must comply with its contractual obligation to offer rides, and can only do this based on the data transfer from the driver (e.g., their location). The data transfer is therefore necessary to execute the contract between the driver and Uber.

4. Assessment

4.1

Processing of personal data

57.

The AP arrives at the following assessment. For the use of the driver app, creating an account for drivers is mandatory. The documents and personal information collected during this registration enable Uber to start its processing activities of personal data of Uber drivers.

58.

The AP has established in paragraph 2.3 that Uber processes various data from Uber drivers in this context. In addition to account data, location data, photos, payment receipts, and ratings, Uber also processes (depending on the legal rules in a country) other data, such as identification documents, criminal records, and health data.

59.

The AP is of the opinion that Uber therefore processes personal data as referred to in Article 4, parts 1 and 2, of the GDPR.

4.2

Data controller and authority of the AP

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60.

Uber B.V. is a company established in the Netherlands and is part of the Uber group. Uber Technologies Inc. is based in the United States and is the parent company of, among others, Uber B.V. The (French) drivers have entered into an agreement with Uber B.V.

61.

The terms "data controller" and "processor" are functional concepts: they are intended to allocate responsibilities according to the actual role of the parties, which means that the legal status of a party as a "data controller" or as a "processor" must, in principle, be determined by its actual activities in a specific situation, and not by the formal designation of a party as a "data controller" or "processor" (e.g., in an agreement).³²

62.

Uber B.V. and Uber Technologies Inc. jointly determine the purpose of and the means for the processing of personal data of Uber drivers in the European Economic Area (EEA). The AP therefore holds that UBV and UTI should be regarded as joint data controllers for the international transfer that is part of two larger series of processing activities as described in situations 1 and 2. The joint data responsibility has not been contested by Uber. For requests regarding the rights of data subjects (situation 2), the distribution is that UBV is responsible for assessing such requests and that UTI provides the technical means and the personal data. UTI is also the publisher of the driver app.

63.

The AP further establishes that in the processing of personal data of Uber drivers, data is processed in the context of the activities of an establishment of a data controller or a processor in the Union, as defined in Article 3, paragraph 1 of the GDPR.

64.

Finally, Uber offers its services in several EU member states and for these services, Uber processes personal data. This means that data subjects in more than one member state experience substantial consequences from the processing of personal data by Uber. This constitutes cross-border processing (Article 4, introductory phrase and under 23, sub a and b, GDPR). The AP notes that Uber's central administration is located in the EEA at Uber B.V. Therefore, Uber B.V. is designated as the main establishment within the meaning of Article 4, part 16, GDPR. In light of this, the AP is competent to act as the lead supervisory authority within the meaning of Article 56, paragraph 1, GDPR.

4.3

Territorial scope and Chapter V of the GDPR

65.

Uber believes that Article 3 of the GDPR and Chapter V of the GDPR cannot be simultaneously applicable.³³

32 See EDPB Guidelines 07/2020 on the concepts of "data controller" and "processor" in the GDPR, p. 3 and 10.

33 See 'Uber's Position on the Research Report and Intent to Enforce' of June 9, 2023, point 6.2.2., p. 28-31.

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66.

The AP notes that the rationale for data transfer in accordance with Chapter V of the GDPR is complementary to the rationale of the territorial scope of the GDPR as laid down in Article 3. Namely, to prevent the protection offered by EU legislation regarding data from being denied, undermined, or circumvented. By applying EU legislation to processing that takes place outside the borders of the EEA, Article 3 of the GDPR aims to ensure the high level of data protection guaranteed by the GDPR. Through the provisions in Chapter V of the GDPR regarding data transfers, this is achieved by mandating the application of EU-standard-based protection to such processing. It should be noted that although the GDPR applies to all processing under Article 3 of the GDPR, the application of the GDPR outside the EEA does not provide the same level of protection. The application of the GDPR within the Union is based on the legal framework of EU legislation in areas such as the recognition and enforcement of judgments, the rule of law, the independence of the judiciary, and the Data Protection Authorities, as well as other fundamental aspects that, by their nature, do not apply to third countries. In various rulings regarding international data transfers, the CJEU expresses this concern by assessing whether personal data has been processed in a manner that complies with EU standards. Therefore, the AP notes that the provisions in Chapter V contain mechanisms that counterbalance the difficulty of enforcing obligations under EU legislation against parties in third countries. The AP believes that any other interpretation of these mechanisms would lead to a weakening of the protection provided within the Union, which does not align with the standard required by the CJEU.

67.

To further clarify the above, the AP notes that it is difficult to enforce compliance with the GDPR against foreign companies, including Uber, within the jurisdiction of the United States. To counter this, the provisions regarding data transfers in Chapter V of the GDPR impose a direct obligation on parties processing data in third countries, requiring them to adhere to the standards of the GDPR.

68.

Regarding Uber's argument that Article 3 of the GDPR takes precedence over Chapter V, or the argument not to apply provisions from Chapter V when Article 3 of the GDPR is applicable, the AP notes that

34 Concepts in data protection should be interpreted broadly so that no one is denied full and adequate protection. This view is expressed by the CJEU in rulings concerning international data processing, indicating that a consistent and uniform application of the Charter must be ensured and that circumvention of protection must be prevented. In this regard, see C-311/18, Schrems II, ECLI:EU:C:2020:559, para. 101 and C-131/12, Google v Spain, ECLI:EU:C:2014:317, paras. 54 and 58.

35 Recital 23 of the GDPR.

36 C-362/14, Schrems, ECLI:EU:C:2015:650, para. 73.

37 Article 36 of the GDPR requires, for example, prior consultation with the relevant Data Protection Authority in cases where data processing would lead to a high risk. However, the GDPR does not contain provisions that would establish a competent Data Protection Authority for data processing outside the Union.

38 C-362/14, Schrems, ECLI:EU:C:2015:650, para. 90, Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, paras. 212-215 and C-311/18, Schrems II, ECLI:EU:C:2020:559, para. 184. Regarding the CJEU's view that data transfers 'must ensure a high level of protection essentially equivalent to that under EU law' in C-101/01, Bodil Lindqvist, EU:C:2003:596.

39 In this context, see for example C-40/17, Fashion ID GmbH & Co. KG, ECLI:EU:C:2019:629, para. 50.

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that any variation on the described interpretation would be contrary to the status that Chapter V holds within the structure of the GDPR. Article 44 of the GDPR establishes the connection between Chapter V and the other provisions by stating that transfers of personal data may only take place if all other relevant provisions of the GDPR are complied with.⁴⁰ The CJEU has confirmed this view by stating that the transfer of personal data to a third country is a processing operation that falls within the scope of the GDPR and that when the GDPR applies, the provisions regarding data transfers must also apply.⁴¹ Furthermore, the European Data Protection Board (hereinafter: EDPB) states that the application of the GDPR entails that all provisions of the GDPR apply to processing operations that fall within the territorial scope of the GDPR.⁴² Including the obligations set out in Chapter V of the GDPR.

69.

The AP notes that there are significant differences between Article 3 of the GDPR and Chapter V of the GDPR and explicitly states that Article 3 of the GDPR does not prevail over Chapter V. Moreover, there are consequences for not applying Chapter V of the GDPR. The territorial scope as laid down in Article 3, paragraph 1, of the GDPR means that the regulation applies to processing of personal data in the context of activities of an establishment of a data controller or processor in the Union, regardless of whether the processing takes place in the Union. The GDPR thus also applies if the processing does not technically take place in the Union, but is bound to the GDPR by a stable relationship with a permanent establishment in the Union (such as a branch or subsidiary). Such a relationship is quickly assumed, for example, if the establishment in the Union generates income for the parent entity in the third country. This is certainly the case between Uber B.V. and UTI in the present case. The provisions regarding data transfers as set out in Chapter V, on the other hand, pertain to the specific context of transfers of personal data to an entity in a third country by a processor or data controller, whereby the exporter of the personal data must take appropriate safeguards so that the personal data enjoy an equivalent level of protection as provided by the GDPR within the Union. This protection is thus complementary to Article 3 of the GDPR. This additional set of provisions of the GDPR establishes a high standard of protection both in practice and by law to prevent the protection offered by EU legislation from being circumvented.⁴³

70.

Finally, Uber argues regarding the relationship between Article 3 of the GDPR and Chapter V of the GDPR that the GDPR (being derived Union law) must be interpreted in accordance with international agreements, in this case, the WTO agreements.

40 Article 44 of the GDPR states that data may only be transferred if the conditions set out in Chapter V are met, which implies that compliance must be guaranteed before the transfer takes place.

41 C-311/18, Schrems II, ECLI:EU:C:2020:559, para. 83.

42 EDPB Guidelines 3/2018 on the territorial scope of the GDPR (Article 3), p. 5.

43 The CJEU noted in its judgments that the GDPR must provide sufficient protection, both in law and

in practice, see C-362/14, Schrems, ECLI:EU:C:2015:650, paras. 64-65 and 95, Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, para. 220. C-311/18, Schrems II, ECLI:EU:C:2020:559, paras. 105 and 187.

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71.

Uber first notes that the European Union, and each of its member states, is a party to the Marrakesh Agreement establishing the World Trade Organization (WTO Agreement)⁴⁴ and the annexes to the WTO Agreement (including the GATS Agreement).⁴⁵ From these international agreements, it follows that non-European entities, such as UTI, may not be treated less favorably than European entities by the participating states. Since, according to Uber, a simultaneous application of both the obligations of the GDPR based on Article 3 GDPR and Chapter V GDPR is disadvantageous for UTI as a non-European entity, Uber is of the opinion that both systems cannot be applied simultaneously. In conclusion, Uber believes that the interpretation of the AP, namely that Chapter V and Article 3 GDPR can be applied simultaneously, is contrary to the international obligations of the EU.

72.

Although the AP will not dispute that the GDPR must, in principle, be interpreted as much as possible in accordance with international agreements, it must establish that Uber, in its argument, overlooks that case law has already established that the interpretation advocated by Uber must meet two cumulative conditions, namely:

1. The nature and structure of that agreement (the WTO Agreement in this case) do not prevent a plea for annulment or exception of illegality of (derived) Union law (the GDPR);
2. The provision (the WTO Agreement) is sufficiently unconditional and sufficiently precise to enable a plea for annulment or exception of illegality of derived Union law (the GDPR).⁴⁶

73.

Established case law indicates that the WTO Agreement does not meet at least the first requirement. The nature and structure of it oppose the precedence of the WTO Agreement over the GDPR. It also contradicts the assertion that the WTO Agreement is leading for the interpretation of derived Union law (such as the GDPR).⁴⁷ The AP therefore maintains its position that Article 3 GDPR (and all obligations arising therefrom) and Chapter V GDPR are simultaneously applicable in this case.

74.

Moreover, paragraph 3 of the introduction of the attached list referred to by Uber in its written opinion⁴⁸ explicitly states that the rights and obligations arising from the GATS, including the list of commitments, do not have direct effect, “so that no direct rights arise for individual natural or legal persons.” Uber cannot therefore invoke the WTO Agreement and the associated GATS commitments in this case.

4.4

Is there a transfer of personal data?

⁴⁴ Marrakesh Agreement establishing the World Trade Organization, April 15, 1994.

⁴⁵ General Agreement on Trade in Services, April 15, 1994.

⁴⁶ See in particular the judgment of January 13, 2015, Council et al./Milieudefensie and Stichting Stop Luchtverontreiniging Utrecht, C-401/12 P–C-403/12 P, EU:C:2015:4, para. 54 and the case law cited therein.

⁴⁷ See in particular the judgments of November 23, 1999, Portugal/Council, C 149/96, EU:C:1999:574, para. 47; March 1, 2005, Van Parys, C 377/02, EU:C:2005:121, para. 39, and February 4, 2016, C & J Clark International and Puma, C 659/13 and C 34/14, EU:C:2016:74, para. 85.

48 List of specific commitments of the European Union annexed to the General Agreement on Trade in Services (GATS) (OJ EU 2019/C 278), p. 59.

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4.4.1

Legal Framework

75.

Article 44 of the GDPR states that “personal data that is processed or intended to be processed after transfer to a third country or an international organization may only be transferred if, without prejudice to the other provisions of this regulation, the controller and the processor have complied with the conditions laid down in this chapter; this also applies to further transfers of personal data from the third country or international organization to another third country or another international organization. All provisions of this chapter shall be applied to ensure that the level of protection guaranteed to natural persons by this regulation is not undermined.”

76.

Furthermore, Recital 101 of the GDPR notes “[...] When personal data is transferred from the Union to controllers, processors, or other recipients in third countries or international organizations, this must not undermine the level of protection that natural persons in the Union are ensured by this regulation, even in cases of further transfers of personal data from the third country or international organization to controllers, processors in the same or another third country or in the same or another international organization. [...] Transfers to third countries and international organizations may only take place in full compliance with this regulation. A transfer may only occur if the controller or the processor, subject to the other provisions of this regulation, complies with the provisions of this regulation regarding the transfer of personal data to third countries or international organizations.”

77.

The GDPR does not provide a definition of 'transfer.' However, in its Guidelines, the EDPB has established three cumulative criteria that a transfer must meet:

1. A controller or a processor (“exporter”) falls under the GDPR for the specific processing activity.
2. Personal data that is the subject of this processing is provided by the exporter through forwarding or made available in another way to another controller, joint controller, or processor (“importer”).⁴⁹
3. The importer is located in a third country (regardless of whether this importer falls under the GDPR for the specific processing activity in accordance with Article 3) or is an international organization.⁵⁰

78.

If the above criteria are met, a transfer occurs, and Chapter V of the GDPR applies. This means that the transfer may only take place under the conditions set out in an adequacy decision by the European Commission⁵¹ or by providing appropriate safeguards.⁵² If these conditions are not met, the GDPR provides for exceptions for specific situations.⁵³

49 See also EDPB Guidelines 07/2020 on the concepts of “controller” and “processor” in the GDPR.

50 EDPB Guidelines 05/2021 on the interaction between the application of Article 3 and the provisions regarding international transfers in accordance with Chapter V of the GDPR, p. 7.

51 Article 45 GDPR.

52 Article 46 GDPR.

53 Article 49 GDPR.

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79.

In the present case, the AP assesses whether the processing described in situation 1 and 2 can be classified as transfers of personal data that must comply with the provisions set out in Chapter V of the GDPR.

4.4.2

Assessment

80.

Regarding the first criterion, the AP establishes that the processing meets the requirements of Article 3, paragraph 1 of the GDPR, namely that a data controller or processor concerning the relevant processing falls under the GDPR.⁵⁴ This conclusion is acknowledged by Uber. More specifically, Uber has stated that UBV, with respect to the processing of personal data of Uber drivers in the EEA, falls under the GDPR. Furthermore, Uber explicitly states that both UBV and UTI are bound by the GDPR under Article 3, paragraph 1 of the GDPR.

81.

Regarding the second criterion, Uber asserts that there is no transfer involved. Uber elaborates on this by stating: "Chapter V of the GDPR does not apply to certain aspects of Uber's business operations and the related international data flows cannot be classified as international data transfers" because UBV and UTI are joint controllers to whom the GDPR directly applies by virtue of Article 3, paragraph 1 of the GDPR. Despite this reasoning, Uber nevertheless acknowledges that data is transmitted between UBV and UTI. However, according to their written statements, they believe that these should not be classified as transfers because both UBV and UTI fall under the GDPR.⁵⁵

82.

The AP holds a different opinion. As previously noted, not applying Chapter V of the GDPR because UBV and UTI fall directly under the GDPR would undermine the high level of protection provided by the GDPR. Transfers can occur under various circumstances where entities fall under the GDPR based on Article 3. Transfers between joint controllers that fall under Article 3 can also occur and are not excluded from the provisions of the GDPR regarding transfers. This view is consistent with the position of the EDPB as expressed in the second criterion for transfers: "Personal data that is the subject of this processing is provided by the exporter through forwarding or made available in another way to another data controller, joint data controller, or processor ('importer')." ⁵⁶

83.

The CJEU requires that data protection is effective both in law and in practice. This means that effective redress mechanisms and remedies against violations of the GDPR must be available.⁵⁶ If the relevant processing falls under the GDPR and the personal data is processed by an entity outside the Union, then the processing falls under legal frameworks that may be in conflict with

⁵⁴ See also paragraph 4.2 and EDPB Guidelines 3/2018 on the Territorial Scope of the GDPR (Article 3).

⁵⁵ Case file 11, Response to information request 1, Annex to International Data Flows, p. 6.

⁵⁶ See also EDPB Guidelines 3/2018 on the Territorial Scope of the GDPR (Article 3) and C-311/18; Schrems II, ECLI:EU:C:2020:559, paras. 186-189.

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with the GDPR or undermine it. Regulations regarding international data transfers therefore provide a

counterbalance to the difficulties in enforcing obligations under EU law against parties outside the Union.

84.

The concept of data controller as laid down in Article 4, introductory part and point 7, of the GDPR must, according to the CJEU, be interpreted broadly to ensure effective and complete protection of the data subjects.⁵⁷ In the opinion of the AP, this interpretation should be analogously applied to the concept of 'exporter'. A restrictive interpretation of the criterion 'exporter' would mean that Uber drivers are not effectively and fully protected, as there would then be no accountable exporter responsible for complying with obligations regarding the transfer of personal data outside the EEA. The exporter is the entity that must comply with the regulations regarding transfers in Chapter V and must assess what appropriate safeguards are necessary to ensure an equivalent level of protection for personal data (as guaranteed under the GDPR). Furthermore, the data subject must be able to hold the data controller accountable for their accountability obligations as defined in Article 5, paragraph 2 in conjunction with Article 44 of the GDPR.

85.

Moreover, the CJEU requires that personal data originating from the Union must enjoy a high level of protection, even when processed in or transferred to third countries. Any interpretation or implementation of the provisions of Article 3 and Chapter V must meet that standard. For this reason as well, the AP is of the opinion that the concept of 'exporter' in the second criterion as elaborated in the EDPB Guidelines should not be interpreted restrictively.

86.

Furthermore, developments in law and jurisprudence do not align with a restrictive interpretation of the goal of providing a high level of protection for personal data. Since the moment the Charter of Fundamental Rights of the European Union (hereinafter: Charter) became primary law,⁵⁸ the CJEU has invoked the Charter to emphasize the high level of protection for international transfers in the context of international agreements of the Union,⁵⁹ adequacy decisions of the Commission⁶⁰ and the standard contractual clauses of the Commission (SCCs).⁶¹ In light of these judgments, the AP views international transfers from the perspective that providing a high level of protection is the starting point and interprets the concept of 'exporter' broadly.

87.

In the present case, taking into account the technical developments, the criterion 'exporter' (a data controller or processor in the EEA that transfers personal data to a third country) deviates from the so-called classical model. To illustrate this, the AP notes that within the given context, Uber provides the data subject – the Uber driver in the EEA – with extensive instructions regarding the provision of specific personal data. Furthermore, the Uber drivers must adhere to conditions set by Uber in advance regarding under

57 See for example C-210/16, Unabhängiges Zentrum für Datenschutz Schleswig-Holstein v. Wirtschaftsakademie Schleswig-Holstein, ECLI:EU:C:2017:796, para. 28 and C-25/17, Jehovah's witnesses, ECLI:EU:C:2018:551, para. 66.

58 See also Article 6, paragraph 1 TFEU.

59 Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, paragraphs 119-231.

60 C-362/14, Schrems, ECLI:EU:C:2015:650, paras. 38-40.

61 C-311/18, Schrems II, ECLI:EU:C:2020:559, para. 99.

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other the processing of their personal data in the context of a (pre)contractual employment relationship. Furthermore, Uber employees in the EEA, such as UBV employees, must adhere to

Uber's internal policies that prescribe the mediation between the Uber driver and UTI.⁶² Uber also explained that when an Uber driver, for example, encounters issues taking the mandatory profile picture for the driver app, the Uber driver can go to a Greenlight Hub location in the EEA where an employee assists the Uber driver (on-site) in taking a photo with the Uber driver's smartphone. The Uber driver can then upload the profile picture to the Uber IT platform managed by UTI with the instructions from the employee. In this specific case, the personal data is technically transmitted from the personal device of the data subject from the EEA to the Uber platform managed by UTI, which is located in a third country. Despite these processing activities instructed by Uber, which take place before and during the contractual relationship between the Uber driver and UBV, Uber attributes the continuous transfer of personal data from the EEA to a third country in situations 1 and 2 to the data subject.

88.

The AP notes that the Uber drivers provide their personal data by entering it on the Uber platform and that this data is collected by Uber via the personal device of the Uber driver, within the EEA, and ends up on Uber's IT systems (managed by UTI) in the United States. This results in data traffic of personal data from the EEA to the United States. However, in the opinion of the AP, this does not mean that the forwarding of data by Uber, as it occurred and still occurs according to the description of situations 1 and 2, does not involve transfers of personal data from UBV to UTI within the meaning of the GDPR.⁶³ Uber uses the driver app as a technical tool to transmit personal data from the EEA to the United States. Therefore, UBV bears joint responsibility and has (technical) control over the transfer of personal data from the EEA to the United States.

89.

Furthermore, the AP is of the opinion that the question of whether there is an international transfer should not only be assessed based on the determination that it is the driver who operates the driver app via his private device. It must also be taken into consideration that Uber exerts a significant degree of influence over the context in which those actions and the will of the driver are established. This context consists of various elements set forth by Uber that effectively leave the driver with no other choice but to enter the data into the Uber app. The following will explain what these elements are and how they determine the context in which the data transfers occur. It will become clear that attributing the transfer to the driver by Uber (who is merely a minor link in the entire process and context of the processing) undermines the protection that the GDPR offers for the processing of personal data.

⁶² An example of these policies was further explained during the consultation hearing; see the minutes of the consultation hearing held on July 5, 2023.

⁶³ Except in the case where Uber sends personal data from the US to the EEA in response to requests from data subjects regarding the exercise of their GDPR rights.

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90.

Firstly, the modern business model as well as the technical architecture of the platform and the internal policies of Uber are structured in such a way that they serve the business purposes of Uber. In the present case, UBV, which enters into an agreement with the Uber drivers (within the EEA), is designated as the data controller that initiates the collection of personal data via the Uber platform in a pre-contractual employment-related relationship. At this stage, the drivers provide their personal data via their personal device, within the EEA, on the platform of the driver app that is managed by UTI, which is located outside the Union. From that moment on, Uber continuously collects and processes personal data via the personal device of the Uber driver. Subsequently, the personal data of Uber drivers in the EEA is made accessible to, and stored on, the servers of UTI in the United States through forwarding or otherwise. The AP therefore concludes that in the contractual relationship

between the Uber drivers within the EEA and UBV, UBV is the exporter of the personal data and UTI is the importer.

91.

This view aligns with 'the provision of effective and complete protection' of personal data as required by the CJEU. Furthermore, this interpretation is not in conflict with the Guidelines.⁶⁴ The Guidelines provide various examples illustrating in which situations processing should be regarded as a transfer. However, an example of a situation as it occurs in the present case, particularly an example of an 'exporter' in the context of a (pre)contractual employment-related relationship, is not provided. In this case, the data subjects provide the personal data via their personal device on the platform managed by an entity from a third country, UTI. The contractual relationship between Uber drivers in the EEA and UBV—where the terms are unilaterally determined by Uber in advance—enables Uber drivers in the EEA to gain access to the platform for Uber drivers. For the core activity, namely providing transportation services on the Uber platform, it is necessary for the Uber driver to upload personal data and for Uber to continuously gather personal data from the Uber driver's device. The personal data is then processed for various purposes jointly determined by UBV and UTI, with transfers occurring from the EEA to the United States.

92. The AP's view, in which UBV is designated as the 'exporter' and UTI as the 'importer', is further confirmed by the following details in the relationship between the Uber drivers and Uber (UBV and UTI).

- The platform for Uber drivers is structured by Uber in such a way that the Uber driver must enter their personal data via their personal device on the platform to gain access to the platform, plan activities (i.e., information events), receive support, and provide transportation services. Uber also stipulates that the personal data of the drivers in the EU is processed on the platform of UTI in a third country. The limited factual influence that Uber drivers have over their personal data in relation to the data controllers is an important factor in qualifying UBV as the exporter in the present case;

⁶⁴ EDPB Guidelines 05/2021 on the interaction between the application of Article 3 and the provisions regarding international transfers in accordance with Chapter V of the GDPR.

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- Regarding the collection of personal data and/or the processing of personal data of Uber drivers via the Uber platform by UBV and UTI, the AP reiterates that the purposes and means for the processing of personal data are unilaterally determined by UBV and UTI. If an individual decides to become an Uber driver in the EU, this requires an account on the Uber platform⁶⁵ and subsequently the acceptance of the general terms and conditions. By agreeing to the general terms and conditions, the Uber driver enters into a contract with UBV, which subjects the Uber driver to the predetermined purposes and means for the processing of their personal data by UTI and UBV;

- The AP explicitly notes that although Uber drivers have entered into the contract voluntarily, this does not automatically mean that they have any influence over the determination of the purposes and means for processing their own personal data. Especially since the general terms and conditions that Uber drivers must accept are pre-established and cannot be negotiated. Furthermore, Uber exercises complete authority over the activities on the platform and the data processing resulting from these activities. For example, Uber influences certain aspects of the behavior of Uber drivers by providing financial incentives to complete more rides and by allowing passengers to rate their Uber driver, which may lead to the Uber driver being excluded from the platform.⁶⁶

93. The AP has also found that Uber, through their platform, has control over the behavior of Uber drivers and their personal data in other ways, namely:

- Uber drivers are directed by an algorithm of the driver app which has been predetermined by Uber and through which Uber exercises control over the data processing.⁶⁷ Moreover, Uber sets certain requirements that an Uber driver must meet. To demonstrate compliance with these requirements, the Uber driver must upload documents containing personal data to the platform. For instance, as an Uber driver, one must possess a car. The vehicles that may be driven on behalf of Uber must meet certain conditions that seem to vary from country to country where Uber transportation services are provided. The vehicles must be approved and meet the condition of mandatory insurance. The driver must also possess a driver's license and must not have a criminal record. These documents are assessed by UBV and UTI before an Uber driver is granted permission and/or admission to accept rides in their vicinity.

- Based on the quality of the driver and the type of vehicle, the transportation services offered by Uber are categorized.

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65 The personal data of the Uber driver is then entered into servers owned and managed by UTI.

These servers are located in the United States where the personal data is further processed.

66 Court of Amsterdam, ECLI:NL:RBAMS:2021:5029, para. 1.13.

67 Ibid, para. 16-35.

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The remaining amount will be paid out to the Uber driver.⁶⁸ In order to execute this, the personal data of Uber drivers will be processed by UTI and UBV.

□ Uber enables passengers to access its platform and perform transportation services in accordance with the general terms and conditions imposed by Uber, which are binding on the drivers through a contract for the use of the platform. The terms relate to the acceptance and pursuit of activities and even to the behavior of drivers while providing the service. As previously described, the driver app, for example, includes a rating feature that allows passengers to rate drivers and vice versa. For this, the relevant passenger needs the personal data of their Uber driver so that they can assess the quality of the ride and other aspects of the ride provided by the Uber driver. An average rating that falls below the threshold could (previously) lead to exclusion from the platform, particularly for drivers. Uber therefore exercises control over the quality of the services provided by their drivers. Uber cannot carry out these activities without processing personal data. In particular, granting and denying access to the platform requires personal data about the respective Uber driver.

□ As previously mentioned, Uber assigns various classifications to Uber drivers such as Gold, Platinum, or Diamond. In order to carry out these activities for the aforementioned purposes, Uber keeps information about drivers.

□ Drivers who complete many rides are financially rewarded by Uber. Uber informs drivers where and when they can expect a high number of rides and/or preferred ride prices. Disputes reported on the platform between a passenger and a driver, for example regarding the ride price, are also handled by Uber. Uber can unilaterally decide to refund the ride price (in whole or in part) to the passenger, after which the driver receives a lower amount for the ride.⁶⁹

94. Based on the above, it can be concluded that Uber's activities within the EEA and beyond consist of offering rides in a vehicle that is located and booked through the platform. Providing this service is at the core of Uber's business model. The service is also offered and perceived in this way by ride

requesters. When ride requesters decide to use the Uber platform, they are looking for a transportation service that offers certain features and a specific quality standard. Such aspects are predetermined and guaranteed by Uber. The AP therefore believes that Uber exercises control over important aspects of the transportation service offered via their platform. This type of control includes the collection and further processing of the personal data of Uber drivers in the EEA, including the transfer of their personal data to third countries.

68 C-434/15, Asociación Profesional Élite Taxi v Uber Systems Spain SL, ECLI:EU:C:2017:981, para. 48.

69 District Court of Amsterdam, ECLI:NL:RBAMS:2021:5029, para. 1.16.

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95. In the present case, the AP explicitly notes that the processing in question cannot be classified as 'internal processing.' There are two data controllers involved, UBV located in the EU and UTI located in the United States. These entities jointly determine the purposes and means for the processing of personal data of Uber drivers as described in situations 1 and 2. Furthermore, the individuals concerned have no control over these purposes and means for the processing of the relevant personal data. Therefore, the Uber drivers cannot be considered data controllers in the sense of the GDPR for the processing of personal data as described in situations 1 and 2.

96. Finally, the third criterion requires that "the importer is located in a third country (regardless of whether this importer falls under the specific processing activity according to Article 3 of the GDPR) or is an international organization." In the present case, UTI is geographically located in the United States and imports the personal data of Uber drivers from the EEA to a third country in the sense of the GDPR.

4.4.3

Conclusion

97. The AP concludes that the provisions regarding data transfers in Chapter V of the GDPR are complementary to Article 3 of the GDPR. The transfer of personal data between joint data controllers that fall under Article 3 is not excluded from the provisions of the GDPR regarding international transfers. This prevents the protection afforded to personal data by EU legislation from being undermined or circumvented.

98. Secondly, it follows sufficiently clearly from Article 44 of the GDPR (and Recital 101 of the GDPR) that the transfer of personal data from the Union to an entity in a third country constitutes a transfer. The AP establishes that in this case there is a transfer in the sense of Article 44 of the GDPR, as personal data from the EEA is being transferred to the United States (a third country). The AP further notes that all criteria for transfers as established in the Guidelines have also been met. The processing of personal data as described in situations 1 and 2 is thus classified as transfers from the EEA to the United States.

99. The transfer by UBV to UTI means that the exporter, UBV, must comply with the obligations under the GDPR, including Chapter V of the GDPR. Finally, UBV must ensure that the level of protection of natural persons guaranteed by the GDPR is not undermined. In particular, UBV must assess whether the transfer instrument it wishes to use is effective in light of the law and legal practice in the third country in question.

70 In other words, when data is not provided through forwarding or made available in any other way to another data controller or processor, even when that processing takes place outside the EU, see EDPB Guidelines 05/2021 on the interaction between the application of Article 3 and the provisions on international transfers according to Chapter V of the GDPR, paragraph 17.

71 Except in the case where Uber sends personal data from the US to the EEA in response to requests from data subjects regarding the exercise of their GDPR rights.

72 EDPB Guidelines 05/2021 on the interaction between the application of Article 3 and the provisions on international transfers according to Chapter V of the GDPR, p. 15, paragraphs 25-27.

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4.5

Did Uber have a transfer instrument?

4.5.1

Legal framework

100.

Article 45, paragraph 1 GDPR states: "A transfer of personal data to a third country or an international organization may take place when the Commission has decided that the third country, a territory or one or more specified sectors in that third country, or the international organization in question ensures an adequate level of protection. No specific authorization is required for such a transfer."

101.

On July 10, 2023, the European Commission adopted the Adequacy Decision. This Adequacy Decision means that transfers by controllers and processors in the Union to certified organizations in the United States can take place without further authorization. This does not affect the direct applicability of Regulation (EU) 2016/679 to such entities, provided that the conditions regarding the territorial scope as laid down in Article 3 of that regulation are met.⁷³

102.

Article 46, paragraph 1 GDPR states: "In the absence of a decision under Article 45, paragraph 3, a transfer of personal data to a third country or an international organization by a controller or a processor may only take place if they provide appropriate safeguards and the data subjects have enforceable rights and effective legal remedies."

103.

Article 46, paragraph 2 GDPR stipulates that "the appropriate safeguards referred to in paragraph 1 may be provided for by the following instruments, without the need for specific authorization from a supervisory authority:

- a) a legally binding and enforceable instrument between public authorities or bodies;
- b) binding corporate rules in accordance with Article 47;
- c) standard data protection clauses adopted by the Commission in accordance with the procedure referred to in Article 93, paragraph 2;
- d) standard data protection clauses adopted by a supervisory authority and approved by the Commission in accordance with the procedure referred to in Article 93, paragraph 2;
- e) an approved code of conduct in accordance with Article 40, together with binding and enforceable commitments of the controller or processor in the third country to apply the appropriate safeguards, including for the rights of data subjects; or
- f) an approved certification mechanism in accordance with Article 42, together with binding and enforceable commitments of the controller or processor in the third country to apply the appropriate safeguards, including for the rights of data subjects."

Article 46, paragraph 3 GDPR states that "subject to the authorization of the competent supervisory authority, the appropriate safeguards referred to in paragraph 1 may also be provided by, in particular:

- a) contractual clauses between the controller or the processor and the controller, the processor, or the recipient of the personal data in the third country or the international organization; or [...]

73 Decision of the European Commission of July 10, 2023 regarding 'the adequate level of protection of personal data under the EU-US Data Privacy Framework' (C2023/4745 final), paragraph 8, p. 3.

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4.5.2

Assessment

104.

Article 44 GDPR describes the general principle regarding transfers, noting that the provisions of Chapter V must be applied so that the level of protection guaranteed by the GDPR is not undermined when personal data is transferred to a third country.⁷⁴ Chapter V is also intended to ensure that the protection standard arising from EU legislation is not circumvented through transfers of personal data to a third country for processing purposes.⁷⁵

105.

In the absence of an adequacy decision within the meaning of Article 45 GDPR, from July 16, 2020, to July 10, 2023, the transfer of personal data to the United States could only take place if appropriate safeguards were provided and data subjects had enforceable rights and effective legal remedies. The AP considers that these appropriate safeguards provided by the data controller must ensure that the rights of the individuals whose data is being transferred enjoy a level of protection that is essentially equivalent to the level guaranteed by the GDPR, viewed in light of the Charter.

106.

The EDPB states in its guidelines that “when one of the transfer instruments mentioned in Article 46 GDPR is relied upon, it must be assessed whether this ensures a level of protection for the transferred data that is essentially equivalent to the level guaranteed in the EU, or whether additional measures need to be taken, and when a data controller or processor transfers data to an importer in a third country whose processing falls under Article 3(2) GDPR, the protection provided by the GDPR may also be undermined by the legal framework applicable to the importer.”⁷⁶ The AP establishes that where the GDPR is directly applicable based on Article 3(1) GDPR, the same reasoning can be followed when one of the joint controllers is established outside the Union. The AP further notes that when personal data is processed in the EEA territory, it is protected not only by the provisions of the GDPR but also by other legislation of the EU and member states. When personal data is transferred and/or made accessible to entities outside the EEA territory, the overarching legal framework provided within the Union no longer applies. In this regard, a mechanism has been established in Chapter V GDPR to ensure that the level of protection of natural persons guaranteed by the GDPR is not undermined. The mechanisms for data transfers provide additional provisions to guarantee the necessary safeguards that must prevent the protection provided by the GDPR and the broader legal framework of the EEA from being undermined by foreign legislation, even when the GDPR is directly applicable based on Article 3 GDPR.

⁷⁴ Recital 6 of the GDPR states that a 'high degree' of protection of personal data must be guaranteed both within the Union and in the case of a transfer outside the Union. See also Recital 101 of the GDPR.

⁷⁵ C-362/14, Schrems, ECLI:EU:C:2015:650, para. 73 and Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, paragraph 214.

⁷⁶ EDPB Guidelines 5/2021 on the interplay between the application of Article 3 and the provisions on international transfers pursuant to Chapter V of the GDPR, p. 6, paragraphs 3 and 4. See also EDPB Recommendations 01/2020 on measures supplementing transfer instruments to ensure compliance with the level of protection of personal data in the Union, EDPB Recommendations 02/2020 on the European essential guarantees for surveillance measures, and C-311/18, Schrems II,

107.

The EDPB Guidelines further state that “this means that the exporter must comply with the conditions of Chapter V and must use one of the instruments that aim to protect personal data after it has been transferred to a third country or an international organization.”

108.

The AP has determined that UBV did not have a lawful transfer mechanism for the transfer of personal data from the EEA to the United States from August 6, 2021, to November 27, 2023. In response to the AP's questions, Uber explains that “UBV and UTI previously entered into the controller-to-controller standard contractual clauses of the European Commission ('SCCs') in their joint controllership agreement.” Uber adds that “from the updated standard contractual clauses ('SCC') by the European Commission ('EC'), it follows that standard contract clauses do not apply to a controller whose processing is subject to the GDPR. In light of this, Uber revisited its joint controller agreement to delete the SCCs.”⁷⁷ For this reason, Uber removed the standard contractual clauses for the transfer of personal data to third countries from its Data Sharing Agreement as of August 6, 2021.

109.

The European Commission (EC) stated in its FAQ that the relevant new standard contractual clauses (SCCs) cannot be used in a situation where the processing by controllers falls directly under the GDPR.⁷⁸ Immediately thereafter, the EC notes that “the European Commission is in the process of developing an additional set of SCCs for this scenario, which will take into account the requirements that already apply directly to those controllers and processors under the GDPR.” The AP believes that Uber could not have inferred from these statements that SCCs or other transfer instruments do not need to be used if the processing (according to Uber) falls under Article 3 of the GDPR. Thus, the EC's statement does not exempt Uber from compliance with the GDPR. Uber was and is currently required to use a transfer instrument in accordance with Chapter V of the GDPR.⁷⁹

110.

Given its latest privacy statement, Uber should have known that a transfer mechanism was necessary. In this statement, Uber declared its adherence to the EU-US DPF and also states that: “In the event that the EU-U.S. DPF or the Swiss-U.S. DPF are invalidated, Uber will transfer data that is subject to these certifications in reliance on the other data transfer mechanisms described above.”

4.5.3

Conclusion

111.

The AP concludes that UBV (as exporter) did not have a lawful transfer mechanism for the transfer of personal data of drivers from the EEA to the United States from August 6, 2021, to November 27, 2023. The AP did not receive an application from Uber regarding other suitable transfer mechanisms.

⁷⁷ Document 17, Response from Uber to Information Request, dated August 9, 2021, p. 6.

⁷⁸ EC, THE NEW STANDARD CONTRACTUAL CLAUSES – QUESTIONS AND ANSWERS, question 24, p. 13, available at:

https://commission.europa.eu/system/files/2022-05/questions_answers_on_sccs_en.pdf

⁷⁹ The AP notes that, depending on the situation in a particular third country, Article 46(2)(c) of the GDPR may require the controller to take additional measures to ensure the level of data protection within the Union, see C-311/18, Schrems II, ECLI:EU:C:2020:559, para. 133.

instruments received under Article 46 GDPR.⁸⁰ The AP therefore concludes that Uber was in violation of Article 44 GDPR during the aforementioned period.

4.6

Can Uber successfully invoke an exception under Article 49 GDPR?

4.6.1

Legal framework

112.

Article 7 of the Charter states, “Everyone has the right to respect for his private and family life, his home, and his communications.” Article 8, paragraph 1, of the Charter states, “Everyone has the right to the protection of his personal data.” The processing of personal data, as defined in Article 4, point 2 GDPR, of a data subject affects the fundamental right guaranteed in Article 7 of the Charter regarding respect for private life. Moreover, such processing falls within the scope of Article 8 of the Charter.⁸¹ The AP notes that the rights enshrined in Articles 7 and 8 of the Charter are not absolute rights and must be considered in relation to their function in society.⁸² In addition to the above, Article 8, paragraph 2, of the Charter states that personal data “shall be processed fairly, for specified purposes, and on the basis of the data subject's consent or another legitimate basis provided for by law.”

113.

Regarding the scope and interpretation of the rights and principles enshrined in the Charter, Article 52, paragraph 1 of the Charter states that “restrictions on the exercise of the rights and freedoms recognized by this Charter shall be provided for by law and respect the essence of those rights and freedoms. Subject to the principle of proportionality, restrictions may be made only if they are necessary and genuinely meet objectives of general interest recognized by the Union or the requirements of protecting the rights and freedoms of others.”⁸³

114.

The exceptions outlined in Article 49 GDPR for specific situations state that “in the absence of an adequacy decision pursuant to Article 45, paragraph 3, or of appropriate safeguards pursuant to Article 46, including binding corporate rules, a transfer or a series of transfers of personal data to a third country or an international organization may only take place if one of the following conditions is met: [...]

b) the transfer is necessary for the performance of a contract between the data subject and the controller or for the implementation of pre-contractual measures taken at the request of the data subject;

⁸⁰ Uber had voluntarily included and implemented the SCCs in their DSA. These were removed by Uber on their own initiative after the new SCCs from the EC became available.

⁸¹ See, for example, C-92/09 and C-93/09, Markus Schecke and Eifert, EU:C:2010:662, paras. 49 and 52; C-594/12, Digital Rights Ireland, EU:C:2014:238, para. 29 and Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, paragraphs 122-123.

⁸² See, for example, C-92/09 and C-93/09, Markus Schecke and Eifert, EU:C:2010:662, para. 48; C-291/12, Schwartz, EU:C:2013:670, para. 33; and Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, paragraph 136.

⁸³ Restrictions on the exercise of the rights enshrined in the Charter must be provided for by law. This means that the legal basis allowing the interference must itself determine the scope of the restriction on the exercise of the relevant right, see in this regard Conclusion 1/15, EU-Canada PNR Agreement, ECLI:EU:C:2017:592, paragraph 139.

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c) the transfer is necessary for the conclusion or execution of a contract in the interest of the data subject concluded between the data controller and another natural or legal person;

[...]

When a transfer cannot be justified under a provision of Articles 45 or 46, including the provisions on binding corporate rules, and none of the derogations for a specific situation referred to in the first paragraph of this subsection apply, the transfer to a third country or international organization may only take place if the transfer is not repetitive, concerns a limited number of data subjects, is necessary for compelling legitimate interests of the data controller that are not overridden by the interests or rights and freedoms of the data subject, and the data controller has assessed all circumstances surrounding the data transfer and has provided appropriate safeguards for the protection of personal data based on that assessment. The data controller informs the supervisory authority about the transfer. The data controller informs the data subject, in addition to the information referred to in Articles 13 and 14, also about the transfer and the compelling legitimate interests pursued by him.”

[...]

115.

Recital 111 of the GDPR states: “Transfers should be possible in certain cases where the data subject has explicitly consented to the transfer, when the transfer is occasional and necessary for the performance of a contract or for legal proceedings, regardless of whether it concerns judicial, administrative, or extrajudicial procedures, including procedures before regulatory authorities. [...]”

116.

In the EDPB Guidelines 2/2018 on Derogations under Article 49 of Regulation 2016/679, approved on May 25, 2018, it states: “The EDPB notes that in Recital 111 the term 'occasional' is used and that in Article 49, paragraph 1, second subparagraph, in the derogation based on 'compelling legitimate interests' the term 'not repetitive' is used. These terms indicate that such transfers may occur more than once - but not regularly - and should not form part of the general approach, but rather, for example, under random, unknown circumstances and at irregular intervals. Thus, a data transfer that occurs regularly within a stable relationship between the data exporter and a specific data importer can generally be regarded as systematic and repetitive and therefore not considered occasional and non-repetitive. [...]”

4.6.2

Assessment

117.

The AP notes that the processing (including the transfers) that takes place as described in situations 1 and 2 concerning the personal data of Uber drivers falls within the scope of Articles 7 and 8 of the Charter. These provisions safeguard the fundamental rights of the drivers. However, the AP notes that since these are not absolute rights, derogations that limit these rights are only permissible if they are in accordance with Article 52 of the Charter. According to Article 52 of the Charter, these rights may only be deviated from if

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these are established by law,⁸⁴ respect the essential content of those rights and freedoms,⁸⁵ and take into account the principle of proportionality.⁸⁶

Article 49 GDPR states that in the absence of an adequacy decision or appropriate safeguards, a transfer or a series of transfers of personal data to a third country may only take place if the conditions of Article 49 GDPR are met. The AP notes that the exceptions in this article must be interpreted restrictively and may only be used if strictly necessary.⁸⁷ The exceptions are intended for situations where there is no adequate protection in the country to which the data will be transferred, and where "the risks to the data subjects are relatively small" or because "other interests" outweigh. For example, public interests or the interests of the data subject, which may outweigh the right to privacy of the (other) data subject.⁸⁸ This principle is underscored in various provisions of Article 49 GDPR, which impose limitations on its use⁸⁹ and the principle of exceptions to fundamental rights under EU law.⁹⁰ The restrictive use of this article is also supported by the wording of the

84 Limitations on the exercise of a right enshrined in the Charter must be provided for by law. Where primary and secondary EU law is concerned, this must be interpreted broadly. The law must also be in force and lawful. The legality requirement follows from Article 277 TFEU. Furthermore, the law must be accessible and sufficiently precise, see ECtHR, *Sunday Times v UK* (No. 1), CE: ECtHR:1979:0426JUD000653874, para. 49. In assessing accessibility and sufficient precision, the foreseeability element is important, see in this regard ECtHR, *Open Door and Dublin Well Woman v Ireland*, CE: ECtHR:1992:1029JUD001423488, paras. 56-60.

85 The essence of a right as described in Article 51(1) of the Charter is defined as its absolute inalienable core, see in this regard, for example, the joined cases C-584/10 P, C-593/10 P & C-595/10 P, *Kadi*, EU:C:2013:518, para. 134. According to the conclusion of AG Saugmandscaard Øe, the requirement formulated in Article 52(1) of the Charter means that any limitation on the exercise of the rights and freedoms recognized in that instrument respects the essential content of those rights and freedoms, and that a measure that infringes that essential content cannot be justified. Such a measure is then deemed to be in violation of the Charter and must be declared null and void as an act of the Union, without the need to examine the condition of compliance with the principle of proportionality, see the Conclusion of the AG in C-401/19, *Republic of Poland v European Parliament*, ECLI:EU:C:2021:613, paragraphs 98-99. Furthermore, "[...] The 'essential content' of a fundamental right constitutes an 'invulnerable core', which must remain free from interference. Therefore, certain exceptionally serious infringements of fundamental rights cannot be justified by any aim, however legitimate. The end does not justify all means." See also Conclusion AG in C-311/18, *Schrems II*, ECLI:EU:C:2020:559, paragraph 272. This view is reiterated in the Conclusion of Advocate General Guivanni Pitruzzella in C-817/19, *Human Rights League v Council of Ministers*, EU:C:2022:65. More specifically, it is stated: "Moreover, it is clear from both the wording of Article 52(1) of the Charter and the case law of the Court, and in particular from the judgment in *Schrems I*, that the assessment of whether there is an infringement of the essential content of the relevant fundamental right must be made prior to and independently of the proportionality assessment of the contested measure. In other words, it concerns an independent test."

Ministers delivered on January 27, 2022 (the Conclusion is translated from French as there is no English version available).

86 See Article 52(1) of the Charter and the case law of the CJEU, see e.g. C-5/88, *Wachauf*, EU:C:1989:321, para. 18. The principle of proportionality is a general principle in European law for which a fourfold test is applied: 1) does the measure pursue a legitimate aim, 2) is the measure suitable to achieve that aim, 3) is it the least restrictive measure available that can achieve the aim as well as the chosen measure, and 4) are the conflicting interests appropriately weighed against each other.

87 The CJEU emphasized that the protection of the fundamental right to respect for private life at EU level requires that exceptions and limitations to the protection of personal data apply only to the extent strictly necessary, see judgment C-73/07, *Satakunnan Markkinapörssi and Satamedia*, ECLI:EU:C:2008:727, para. 56; C-92/09 and C-93/09, *Volker und Markus Schecke and Eifert*, ECLI:EU:C:2010:662, para. 77; C-293/12 and C-594/12; *Digital Rights Ireland*, EU:C:2014:238, para. 52, C-362/14, *Schrems*, ECLI:EU:C:2015:650, para. 92, C-203/15, *Tele2 Sverige AB*,

ECLI:EU:C:2016:970, para. 96.

88 See for example C-362/14, Schrems, ECLI:EU:C:2015:650, para. 92 and C-293/12 and C-594/12, Digital Rights Ireland, ECLI:EU:C:2014:238, para. 52.

89 Article 49(2-4) GDPR.

90 C-362/14, Schrems, ECLI:EU:C:2015:650, para. 92 and C-293/12 and C-594/12, Digital Rights Ireland, ECLI:EU:C:2014:238, para. 52.

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Article 49 GDPR provides a title stating that deviations may only be used for specific situations.⁹¹

119.

Furthermore, the AP notes that the use of Article 49 GDPR does not provide additional protection or guarantees for the transfer of personal data that may lead to an increased risk concerning the rights and freedoms of the respective data subjects. Moreover, the AP points out that when the transfer occurs based on a deviation, the relevant provisions of the GDPR still apply.⁹² Finally, Article 49 GDPR must be read in light of the Charter.⁹³

120.

Uber has indicated that if the AP concludes that there are processing activities that must be classified as transfers within the meaning of Chapter V GDPR, Uber could base the processing described for situation 1 on Article 49, paragraph 1, sub b) GDPR.⁹⁴ The processing described for situation 2 could, according to Uber, be based on Article 49, paragraph 1, sub c) GDPR.⁹⁵ Below, the AP assesses Uber's reliance on these two exceptions in the respective order.

The transfers are not incidental

121.

Based on Recital 111 of the GDPR, this deviation may only be used if the transfer is incidental. As indicated in the EDPB guidelines, this excludes transfers that "regularly occur within a stable relationship" and cannot apply "to many transfers within the business relationship."⁹⁶ Any other interpretation would not align with Union law, which requires that a deviation from a fundamental right is not interpreted in a way that contradicts its exceptional nature.⁹⁷

122.

The AP notes that there can be no reliance on the deviation concerning contractual necessity of Article 49, paragraph 1, sub b) GDPR to justify transfer activities as described for situation 1. This is because the transfers of data of more than [confidential] Uber drivers between UBV and UTI are considered systematic, repetitive, and ongoing. In this regard, the AP notes in accordance with the EDPB Guidelines that in light of Recital 111, one can only rely on Article 49, paragraph 1 sub b, c, and e.

⁹¹ EDPB Guidelines 2/2018 on deviations under Article 49 of Regulation 2016/679, approved on May 25, 2018, p. 4.

⁹² Article 44 GDPR states that the transfer of personal data under Chapter V can only take place "without prejudice to the other provisions of this regulation."

⁹³ C-617/10, Akerberg Fransson, ECLI:EU:C:2013:280, para. 21.

⁹⁴ See 'Uber's Position on the Investigation Report and Enforcement Intent' of June 9, 2023, para. 236, p. 58-59 and p. 71-73 (paragraph 7.3.4.).

⁹⁵ See 'Uber's Position on the Investigation Report and Enforcement Intent' of June 9, 2023, para. 236, p. 58-59 and p. 67-71 (paragraph 7.3.3).

⁹⁶ EDPB Guidelines 2/2018 on deviations under Article 49 of Regulation 2016/679, p. 11: Data transfers that regularly occur in a stable relationship are considered systematic and repetitive and are therefore no longer 'incidental' in nature. Consequently, many data transfers within a business relationship cannot be based on Article 49, paragraph 1, sub b).

97 C 623/17, *Privacy International v Secretary of State for Foreign and Commonwealth Affairs and Others*, ECLI:EU:C:2020:790, para. 69. Furthermore, when a provision "provides for an exception to the general rule, it must be interpreted strictly according to established case law. Therefore, that provision must not allow the exception to the mandatory principle ... to become the rule, as the latter provision would largely lose its content in that case." See C-140/20, *Dwyer v Commission for An Garda Síochána*, ECLI:EU:C:2022:258, para. 40. See e.g. C-203/15 and C-698/15, *Tele2 Sverige AB*, EU:C:2016:970, para. 89, C-511/18, C-512/18 and C-520/18, *La Quadrature du Net and Others*, EU:C:2020:791, para. 111.

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The GDPR can invoke justifications for incidental transfers.⁹⁸ This view is supported by the general perspective within Union law, where it is established practice to interpret deviations restrictively, and that any limitations or deviations from Articles 7 and 8 of the Charter are only permissible to the extent that this is deemed strictly necessary.⁹⁹ The Court of Justice of the European Union (CJEU) has taken this position numerous times, stating that a situation where the exception becomes the rule must be avoided.¹⁰⁰

123.

Uber has indicated that the interpretation of the Data Protection Authority (AP) is incorrect and incompatible with Article 49 GDPR. Uber substantiates its claims by invoking the non-binding nature of the considerations of the GDPR. Uber argues that the criterion 'incidental' is not enshrined in Article 49 GDPR. The wording of Article 49, paragraph 1 GDPR, which stipulates that deviations in specific situations can be used for a 'transfer' or 'series of transfers', does not imply, according to Uber, that the provision can be interpreted to include 'incidental' as part of the criteria that must be met.

124.

The AP agrees with Uber that the consideration has no binding legal force and that it cannot be invoked as a basis to deviate from actual legal provisions or in cases where provisions are interpreted in a manner that clearly contradicts the wording of the provision. However, the AP notes that the considerations of the GDPR "can explain the content of the provisions of that law" and that it "includes important elements for interpretation, which can clarify the intentions of those who drafted the law."¹⁰¹ More importantly, the CJEU supports this interpretation in its case law, where it provided explanations regarding the limits of the scope of the deviation in light of the considerations. In particular, the CJEU deems it necessary for the interpretation of a provision in Union law to not only look at the wording but also at "the context in which this occurs and the objectives pursued by the rules of which it forms a part"¹⁰² and that "the scope of the deviation... must be determined in light of the interpretation thus provided by the EU legislator."¹⁰³ Furthermore, the CJEU ruled that an interpretation of the deviation without regard to the intention of the EU legislator as expressed in the considerations would undermine the purpose of the legislation.¹⁰⁴ The AP therefore concludes that consideration 111 of the GDPR provides the necessary clarification for the interpretation of Article 49, paragraph 1, sub b) GDPR in accordance with the objectives pursued by the EU legislator and also concludes that the consideration is not in conflict with the wording of the aforementioned article. Any other interpretation of this article would disregard the intent of the legislator and be inconsistent with the approach adopted by the CJEU.¹⁰⁵ The AP therefore arrives at the

⁹⁸ EDPB Guidelines 2/2018 on derogations under Article 49 of Regulation 2016/679.

⁹⁹ C 623/17, *Privacy International v Secretary of State for Foreign and Commonwealth Affairs and Others*, ECLI:EU:C:2020:790, para. 81; C-203/15 and C-698/15, *Tele2 Sverige AB*, EU:C:2016:970; C-511/18, C-512/18 and C-520/18, *La Quadrature du Net and Others*, EU:C:2020:791, para. 130; C-311/18, *Data Protection Commissioner v Facebook Ireland Ltd*, ECLI:EU:C:2020:559, para. 176; *Joined Cases C-293/12 and C-594/12, Digital Rights Ireland Ltd v Minister for Communications*,

ECLI:EU:C:2014:238, para. 52; C-362/14, Schrems, ECLI:EU:C:2015:650, para. 96.

100 See e.g. C-140/20, Dwyer v Commission for An Garda Síochána, ECLI:EU:C:2022:258, para. 40; C-817/19, Ligue des droits humains, ECLI:EU:C:2022:491, para. 114; C-401/19, Republic of Poland v European Parliament and the Council of the European Union, EU:C:2022:297, para. 64 and 74.

101 C-418/18, P Puppink and others v Commission of the European Communities, ECLI:EU:C:2019:1113, para. 75.

102 C-528/16, Confédération paysanne and Others, EU:C:2018:583, para. 42.

103 Ibid, paras. 44-46.

104 Ibid, paras. 51-53.

105 Ibid, see also e.g. C424/10 and C425/10, Ziolkowski v Land Berlin, ECLI:EU:C:2011:866, paras. 42-43.

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conclusion that one can only invoke Article 49, paragraph 1, sub b GDPR to justify 'incidental' transfers.

125.

Regarding the processing described for situation 1, UBV cannot rely on the derogation of Article 49, paragraph 1, sub b GDPR to justify the transfer to the United States. The AP qualifies this transfer as systematic, repetitive, and ongoing within a stable, enduring business relationship between UBV and UTI.

126.

With respect to the processing in situation 2, Uber indicates that these can be based on Article 49, paragraph 1, sub c GDPR. Under this derogation, a transfer or a series of transfers may take place when “the transfer is necessary for the conclusion or performance of a contract in the interest of the data subject between the data controller and another natural or legal person.” The condition that the transfer must be necessary and incidental also applies to this provision. In the present case, UBV cannot use the derogation as a basis for transfer, as this transfer is also considered systematic and repetitive in nature within a stable, enduring business relationship between UBV and UTI. Furthermore, Uber does not have a legal obligation to facilitate the rights of data subjects based on the contract, but rather based on the GDPR.

The transfers are not necessary

127.

In addition to the fact that there is no incidental transfer, Uber cannot successfully invoke Article 49, paragraph 1, sub b and c GDPR, because the transfer is not necessary for the execution of a contract between Uber and the data subject or between Uber and a third party (a contract in the interest of the data subject).

128.

The AP reminds in this context that the necessity requirement as an autonomous Union concept requires that the processing must be objectively indispensable to establish the contract.¹⁰⁶ It is irrelevant whether the processing is useful for the contract or mentioned therein,¹⁰⁷ the data controller must demonstrate that the main objective of the contract could not be achieved without that processing.¹⁰⁸ The necessity link must, as Uber rightly points out, be close and substantial in relation to the purpose of the contract.

129.

An example of necessity is when a data transfer occurs from a travel agency to a hotel in a third country to establish a contract between the customer and the travel agency. In this case, the link between the transfer and the purpose is close and substantial, and there is no realistic alternative

available (hotels are often located in third countries). An example of a lack of necessity is when a corporate group transfers data for business purposes.

106 Judgment of the CJEU of July 4, 2023, Meta (ECLI:EU:C:2023:537), para. 98.

107 Judgment of the CJEU of July 4, 2023, Meta (ECLI:EU:C:2023:537), para. 99 and conclusion AG, para. 54.

108 Judgment of the CJEU of July 4, 2023, Meta (ECLI:EU:C:2023:537), para. 98.

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payment functions and the personnel policy for all its staff in a third country has been centralized, as there is no objective link between the execution of the agreement and the transfer.¹⁰⁹

130.

Uber has explained the necessity in this case by first pointing out that the transfer takes place within the framework of the agreements (Data Sharing Agreement) between UBV in the EU and UTI in the US. In the opinion of the AP, this does not make the transfer necessary, precisely because the Court has ruled that the mere existence of the agreement itself (the 'mentioning') cannot constitute necessity. According to the Court, for necessity to be established, there must be 'no viable, less intrusive alternatives' available, and the data controller must be able to demonstrate this.¹¹⁰

131.

Secondly, Uber believes that the centralized data processing in the US is crucial for being able to offer Uber services and for ensuring the right of drivers in the EU to the protection of their personal data: 'only by processing personal data centrally can Uber apply its extensive technical and organizational measures globally and provide drivers with the highest level of protection.' Uber has not been able to sufficiently clarify to the AP why the transfer of personal data to the US is crucial for offering the service and a high level of protection. As mentioned in paragraph 128, there is, first of all, a lack of necessity if a corporate group centralizes personal data in a third country for business purposes. In this case, the personal data could also have been processed on a server in the EU if a third country does not provide an adequate level of protection. Secondly, it seems that, in almost every conceivable case, a transfer to a country without an adequate level of protection actually undermines the level of protection that the GDPR provides.

132.

Perhaps unnecessarily, although Uber has indicated in its written comments that the transfer is crucial for both offering the services and providing a higher level of data protection, Uber's explanation during the hearing suggests that other motives may have played a role. Uber stated that the choice for centralized processing in the US was driven by the fact that the service can be delivered faster and more efficiently that way.¹¹¹ This suggests that the centralized processing in the US is motivated by reasons that seem much more related to its efficiency.¹¹²

133.

In summary, the AP is of the opinion that Uber has not demonstrated why the transfer is objectively necessary for the execution of the agreement and that there are no viable, less intrusive alternatives available. A reliance on Article 49, paragraph 1, sub b and c GDPR also fails for this reason.

109 EDPB Guidelines 2/2018 on derogations under Article 49 of Regulation 2016/679, p. 10.

110 Judgment of the CJEU of July 4, 2023 Meta (ECLI:EU:C:2023:537), para. 99.

111 See the minutes of the hearing held on July 5, 2023, p. 6.

112 Cf. Judgment of the CJEU of July 4, 2023 Meta (ECLI:EU:C:2023:537), para. 99: the Court explicitly states that being 'useful' does not constitute necessity.

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4.6.3

Conclusion

134.

The AP concludes that Uber cannot successfully invoke the exceptions for specific situations regarding international transfers as referred to in Article 49, paragraph 1, sub b and c of the GDPR for the period from August 6, 2021, to November 27, 2023.

4.7

Final Conclusion

135.

The AP is of the opinion that there are processing activities in which personal data of Uber drivers from the EEA are processed by Uber. Furthermore, there is a transfer of personal data as intended in the GDPR. In the absence of an adequacy decision, in the sense of Article 45 of the GDPR, the transfer of personal data to the United States could only take place between July 16, 2020, and July 10, 2023, provided that appropriate safeguards were offered and data subjects had enforceable rights and effective legal remedies. The AP has established that UBV did not provide the necessary appropriate safeguards described in Article 46, paragraph 2 of the GDPR at least between August 6, 2021, and November 27, 2023. Furthermore, UBV cannot successfully invoke the exceptions described in Article 49, paragraph 1, sub b and c of the GDPR, given the non-essential and structural nature of the processing activities. The AP therefore concludes that Uber was in violation of Article 44 of the GDPR during the aforementioned period.

5. The Fine

5.1

Power to Impose a Fine and Uber's Position

136.

Uber has raised several grounds concerning the lack of justification for the imposition of an administrative fine or corrective measure by the AP. Firstly, Uber claims that the investigation report is flawed and carelessly prepared. Secondly, according to Uber, the *lex certa* principle and the prospect of concrete legalization (through the EU-US DPF) oppose enforcement by the AP. Thirdly, Uber argues, referring to case C-807/21 of the CJEU, that an administrative fine can only be imposed if there is intent or negligence, and that a corrective measure is not appropriate. Finally, Uber asserts that a measure could have disproportionate consequences and that Uber should therefore be allowed to submit a separate position once there is more clarity regarding the potential sanction decision.

137.

The AP does not follow Uber's argument. The AP is of the opinion that based on the facts and the assessments derived therefrom, it is beyond reasonable doubt that there is a transfer of personal data taking place and that the violation has been committed by Uber. Where necessary, the AP has supplemented the facts and assessments in response to Uber's position. Regarding Uber's invocation of the *lex certa* principle, which is partly contained in Article 49 of the Charter, the AP considers the following. As the Administrative Jurisdiction Division of the Council of State has repeatedly stated,¹¹³

¹¹³ See, among others, the judgments of July 9, 2014, ECLI:NL:RVS:2014:2493, January 16, 2019, ECLI:NL:RVS:2019:109.

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The lex certa principle requires the legislator to describe prohibited behaviors as clearly as possible with a view to legal certainty. It should not be overlooked that the legislator sometimes describes prohibited behaviors with a certain vagueness, using general terms, to prevent behaviors that are punishable from falling outside the scope of that description. This vagueness may be unavoidable, as it is not always possible to foresee how the interests to be protected will be violated in the future, and because, if this can be foreseen, the descriptions of prohibited behaviors would otherwise become too refined, resulting in a loss of clarity and thereby harming the importance of general clarity in legislation. In other words, the lex certa principle requires the legislator to describe prohibited behaviors as clearly as possible with a view to legal certainty.¹¹⁴

138.

The AP concludes that this is the case in this matter. According to the AP, the provisions it has assessed are sufficiently clear. Based on Chapter V of the GDPR, the recitals of the GDPR, the case law regarding data transfers from the CJEU, and also previous decisions of other European data protection authorities, it was foreseeable for Uber that a transfer instrument is necessary for the transfer of personal data to the United States (as a third country). The fact that Uber was certified under the new adequacy decision on November 27, 2023, does not detract from the authority of the AP to take enforcement action for the period of two years and three months during which Uber had no transfer instrument. Based on the facts and the assessments derived from them, it is therefore beyond reasonable doubt that the violation was committed by Uber.

139.

The AP has established, based on Article 58, paragraph 2, introductory phrase and under (i), in conjunction with Article 83 of the GDPR and read in conjunction with Article 14, paragraph 3, of the Implementation Act GDPR, the authority to impose an administrative fine. The CJEU has first specified in this context that a condition for imposing such a fine is that the infringement was committed culpably by the offender. This includes intentional or negligent conduct. A data controller has committed an infringement intentionally or out of negligence if he could not have been unaware that his conduct constituted an infringement, regardless of whether he was aware that he was violating the provisions of the GDPR, as follows from the case law of the CJEU.¹¹⁵

140.

The AP has determined that Uber has committed a violation of Article 44 of the GDPR. Uber could have known, based on the GDPR and the case law of the CJEU, that a transfer instrument is necessary for the transfer of personal data to the United States. Due to this violation and its seriousness, the AP sees reason to exercise its authority to impose an administrative fine.

141.

Regarding Uber's position that it was wrongly not given the opportunity to present its views on the amount of the fine, the seriousness and extent of the established violation, and the final justification, the AP finally considers the following. Neither Article 4:8 nor Article 5:50 of the General Administrative Law Act (read in conjunction with Articles 5:48 and 5:53 of the General Administrative Law Act) obliges the AP to

¹¹⁴ Judgment of October 26, 2022, ECLI:NL:RVS:2022:3077. See also ECHR, November 11, 1996, no. 17862/91, ECLI:CE:ECHR:1996:1115JUD001786291.

¹¹⁵ CJEU, case C-807/21, December 5, 2023, ECLI:EU:C:2023:950, paragraphs 75 and 76.

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to express itself regarding these aspects in the intention to impose an administrative fine.¹¹⁶ An

intention to impose a fine and the investigative report based on it are sufficient grounds on which a statement of views can be requested. The AP reminds Uber of the objection phase, during which Uber can still file an objection (and must be heard) against the amount of the fine and its justification. Furthermore, the AP has taken the submitted statement of views into account in its assessment. What is mentioned in the statement of views can contribute to the AP's decision to impose an administrative fine, after which the AP determines the amount of the fine based on all relevant facts and circumstances known to it at that time. For this reason, the AP has not commented on the aspects mentioned by Uber in its intention to enforce.

5.2

Systematics for determining the fine amount

142.

The EDPB approved the final text of the Guidelines 04/2022 on the calculation of administrative fines under the GDPR (hereinafter: the Guidelines) in its plenary meeting on May 24, 2023. The AP will apply these Guidelines to this case.¹¹⁷ The (national) policy rules of the AP regarding the determination of the amount of administrative fines have been withdrawn, to the extent currently relevant.¹¹⁸

143.

The Guidelines describe a methodology whereby the following steps are taken sequentially:

1.

Mapping the processing activities in the relevant case and evaluating the application of Article 83, paragraph 3, GDPR;

2.

Determining the starting amount for further calculation;

3.

Assessing whether there are mitigating or aggravating circumstances that necessitate an adjustment of the amount from step 2;

4.

Determining the maximum amounts applicable for the violations and whether any increases from the previous step do not exceed this amount;

5.

Assessing whether the final amount of the calculated fine meets the requirements of effectiveness, deterrence, and proportionality, and adjusting it if necessary.

144.

These steps will be followed in succession.

5.3

Calculation of the fine amount

5.3.1

Step 1: Establishing actions and violations

145.

To determine the starting amount of the fine, it must first be examined, as described in the Guidelines, whether there is one or more sanctionable behaviors.

¹¹⁶ CBb May 7, 2019, ECLI:NL:CBB:2019:177

¹¹⁷ See also

<https://www.autoriteitpersoonsgegevens.nl/actueel/nieuw-boetebeleid-voor-overtredingen-avg>

¹¹⁸ See <https://www.autoriteitpersoonsgegevens.nl/documenten/boetebeleidsregels-autoriteit-persoonsgegevens-2023>

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146.

The AP has established that there is a lack of one of the transfer instruments as laid down in Chapter V of the GDPR. Thus, Uber has violated the obligation under Article 44 of the GDPR to use a transfer instrument for international transfers. The calculation of the starting amount in this case relates to two processing activities that fall within the context of one sanctionable behavior.

****5.3.2****

****Step 2: Determine starting amount****

147.

As described in the Guidelines, the starting amount of the fine must then be determined. This starting amount serves as the basis for further calculations in later steps, taking into account all relevant facts and circumstances. The Guidelines state that the starting amount is determined based on three elements: i) the classification of the violations according to Article 83, paragraphs 4 to 6 of the GDPR; ii) the severity of the violation; and iii) the turnover of the company. The following sections will address all three elements.

****Ad i)** **Classification of violations according to Article 83, paragraphs 4 to 6 of the GDPR****

148.

As mentioned in the Guidelines, almost all obligations of the data controller are categorized in the provisions of Article 83, paragraphs 4 to 6 of the GDPR. The GDPR distinguishes between two types of violations. On the one hand, violations that are sanctionable under Article 83, paragraph 4 of the GDPR, for which a maximum fine of €10 million (or in the case of a company, 2% of the annual turnover, whichever is higher) applies; on the other hand, violations that are sanctionable under Article 83, paragraphs 5 and 6 of the GDPR, for which a maximum fine of €20 million (or in the case of a company, 4% of the annual turnover, whichever is higher) applies. With this distinction, the legislator has provided an initial indication of the seriousness of the violation: the more serious the violation, the higher the fine.

149.

For the current violation of Article 44 of the GDPR, an administrative fine of up to €20,000,000.00 (or in the case of a company, 4% of the global annual turnover, whichever is higher) can be imposed. This categorization indicates that the violation of these provisions is considered serious by the legislator (in abstracto).

****Ad ii)** **Severity of the violation****

150.

In determining the severity of the violation, consideration must be given to the 1) nature, 2) seriousness, and 3) duration of the infringement, as well as the intentional or negligent nature of the violation and the categories of personal data involved.

151.

Regarding the nature of the violation, it is necessary to look at the interest that the breached provision aims to protect. The AP notes that the intended interest of Article 44 of the GDPR, namely the continuity of the high level of protection of the GDPR in the transfer of personal data to third countries, has not been ensured by Uber. Due to the absence of an adequacy decision or appropriate safeguards during the period of the violation, Uber has unlawfully transferred personal data to a third party.

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country, while that third country has an inadequate level of protection. Specifically, this concerns the transfer to the United States, where intelligence services have access to personal data of EU citizens under local law. This breach poses a direct threat to the right to privacy and the right to the protection of personal data as laid down in Articles 7 and 8 of the Charter, respectively.

152.

In assessing the severity of the violation, the AP considers the following. Regarding the nature of the processing, it is first relevant to examine the relationship between the data controller and the data subjects. The AP notes that in this case there is a hierarchical employment relationship between Uber and the drivers.¹¹⁹ The AP points out, as described in paragraph 4.3.2, that Uber's actual working method towards its drivers is also characterized by a significant dependency. Uber itself confirms this in its written response by stating that the drivers are "dependent on the income they obtain through the Uber Rides driver app for their daily livelihood."¹²⁰ Secondly, the nature of the processing entails higher risks, as Uber evaluates personal aspects of drivers and makes decisions based on this.

153.

Regarding the scope of the processing, the AP finds that there is a cross-border processing in the sense of Article 4, part 23, GDPR. Uber processes personal data of drivers from various EU countries. This makes Uber's processing extensive.

154.

Concerning the purpose of the processing, the AP notes that the more central the location of the processing is within the core activities of the data controller, the more serious the irregularities in that processing will be.¹²¹ In this assessment, processing related to generating rides must be distinguished from handling access requests. Regarding the processing of personal data in the context of generating rides, the AP notes that this is an essential part of Uber's core activity, namely mediating as a platform between drivers offering rides and customers requesting rides. Without generating rides, it is not possible to suggest rides to the drivers, and for them to accept and offer them to customers. Regarding the processing of personal data for the purpose of handling access requests, the AP finds that this does not constitute a part of Uber's core activity, as Uber is merely attempting to comply with a legal obligation arising from the GDPR. It does not independently contribute to Uber's revenue model as a commercial enterprise.

155.

Concerning the number of affected data subjects, the AP has found that from August 6, 2021, to mid-February 2023, there were on average [confidential] drivers active for Uber in France and on average [confidential] drivers across the entire EU. On February 17, 2023, there were [confidential] active drivers in the EU according to Uber. Regarding transfers in the context of access requests, Uber executed [confidential] access requests between August 2021 and February 2023 with the

¹¹⁹ See also French Court of Cassation, March 4, 2020 (Judgment No. 374); District Court of Amsterdam, September 13, 2021 (ECLI:NL:RBAMS:2021:5029), paragraphs 27 to 32.

¹²⁰ "Uber's Response to the Investigation Report and Enforcement Intent" dated June 9, 2023, p. 83.

¹²¹ Guidelines 04/2022 for the calculation of administrative fines under the GDPR, paragraph 54.

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automatic download tool for drivers from the EU. Uber has also executed [confidential] deletion requests for (former) drivers from the EU. Finally, Uber indicates that in addition to the download tool, between August 6, 2021, and February 1, 2023, it processed [confidential] requests from French (former) drivers for a more extensive access request. Furthermore, Uber states in its written opinion that in the context of handling access requests via phone and mail, fewer than ten requests are processed per year. Some requests are too complex and must be manually prepared by an employee

of Uber B.V., amounting to approximately 100 requests in the first four months of 2023.

156.

The AP further noted in paragraph 2.5 that the infringement occurred from August 6, 2021, to November 27, 2023. This is a period of over two years and three months. In the opinion of the AP, Uber has culpably committed the act. The infringement ceased to exist on November 27, 2023, as Uber certified itself under the EU-US DPF on that date.

157.

Finally, it must be examined whether Uber has processed personal data that deserves special protection and therefore leads to a higher severity of the infringement. Consideration must also be given to the amount of data collected about each individual. As the AP established in paragraph 2.3, Uber processes a large amount of data about Uber drivers. In addition to account data, location data, photos, payment records, and ratings, Uber also processes (depending on the legal rules in a country) other data, such as identity documents, criminal records, and health data. Many of these data are sensitive by nature. Additionally, criminal and health data are special personal data that enjoy extra protection under Article 9 and Article 10 of the GDPR. In particular, the transfer of criminal data to the United States, which had been determined at the time to not provide an adequate level of protection, and where it was known that government agencies could gain access to personal data stored there, is attributed to Uber by the AP. For the above reasons, the AP considers the impact of this aspect to increase the overall severity of the infringement.

Ad iii) Turnover of the company

158.

The Guidelines stipulate that from the perspective of fairness, the starting amount of the fine must be related to the size of the company. The size of the company is determined based on its turnover. For a small company, with a turnover of up to €2 million, the starting amount is generally limited to 0.2% to 0.4% of the actual starting amount, and the starting amount increases as the company's turnover increases. If a company has a turnover of more than €500 million, the amount of the fine is determined as a percentage of the company's annual turnover.¹²² This means that the size and turnover of the company are already factored into the amount of the fine, so the starting amount does not need to be adjusted on that basis.

¹²² From an annual turnover of €500 million, it is stated that 4% of the annual turnover is higher than €20 million, so this percentage must be considered as the maximum fine (Article 83, paragraph 5, introductory part, of the GDPR).

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159.

As stated in recitation 150 of the GDPR, when imposing a fine on a company, the "company" must be regarded as a company in accordance with Articles 101 and 102 of the Treaty on the Functioning of the European Union. Established case law from the Court of Justice of the European Union indicates that a company is any entity that carries out an economic activity, regardless of its legal form and the manner in which it is financed. Thus, it concerns the economic unit of the company and not the legal entities within it. Different companies or entities within the same economic unit can therefore together constitute a company in the sense of the aforementioned provisions.

160.

Uber B.V. is indirectly a wholly-owned subsidiary of Uber Technologies Inc. Therefore, for the application of Article 83 of the GDPR, they must be considered as the same company.

161.

As mentioned in the Guidelines, revenue can be determined based on the annual accounts of the company for the previous financial year. According to Article 83, paragraphs four to six, of the GDPR, the global revenue for the previous financial year is taken into account.

162.

Uber Technologies Inc. has published its annual accounts for 2023 on its website.¹²³ On page 75, a consolidated overview of the company is included. It can be inferred from this that the global revenue of the company for 2023 amounts to \$37.281 billion. This corresponds to €34.235 billion.¹²⁴

Determine starting amount

163.

According to Article 83, paragraph five, of the GDPR, the maximum fine is 4% of the annual revenue. The annual revenue amounts to €34.235 billion, so the maximum fine for the infringement is €1.369 billion.

164.

The assessment of the above circumstances and factors determines the overall seriousness of the infringement committed by Uber. This involves a thorough evaluation of the specific circumstances of the case in which all circumstances must be considered in conjunction.

165.

In light of what has been considered under i) and ii), the AP is of the opinion that the level of severity of the infringement should be classified as "high." According to the Guidelines, for infringements with a high level of severity, the starting amount should be determined at a point between 20% and 100% of the maximum fine, which in this case is €1.369 billion. This corresponds to an amount between €273.881 million and €1.369 billion. As a general rule, the more serious the infringement is within its own category, the higher the starting amount will be.

¹²³ To be consulted via <https://investor.uber.com/financials/default.aspx>

¹²⁴ The total revenue for 2023 was \$37,281,000,000, which, with an exchange rate as of July 19, 2024, of 1 dollar to 0.9183 euros, converts to a revenue of €34,235,142,300.

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166.

The AP is of the opinion that, given the described circumstances, the infringement is serious. However, the AP does not find all circumstances to be so serious or negative that the starting amount should be set at the upper limit of the maximum fine. In this regard, the AP has taken into account, among other factors, the number of affected individuals and the fact that the violation has been terminated.

167.

Based on the categorization of the infringement, the severity of the infringement, and the turnover of the company, the AP sets the starting amount for the violation of Article 44 GDPR in this case at €290 million.

5.3.3

Step 3: Assessing other relevant circumstances

168.

As stated in the Guidelines, it must then be considered whether the circumstances of the case warrant setting the fine higher or lower than the aforementioned starting amount. The circumstances to be taken into account are listed in Article 83, second paragraph, introductory phrase and subparagraphs a through k of the GDPR. The circumstances mentioned in that provision must each be considered only once. In the previous step, account has already been taken of the nature, seriousness, and duration of

the violation (subparagraph a), the intentional or negligent nature of the infringement (subparagraph b), and the categories of personal data (subparagraph g). This leaves subparagraphs c through f and h through k.

169.

The only applicable circumstance is the manner in which the AP became aware of the infringement, specifically whether, and if so to what extent, the data controller reported the infringement (subparagraph h). In this case, Uber did not report the infringements itself, but they came to the attention of the AP through complaints. However, according to the Guidelines, this is assessed as "neutral" and therefore has no consequences for the amount of the fine to be imposed.

5.3.4

Step 4: Checking the maximum amounts applicable to the infringements

170.

As mentioned, a maximum fine of 4% of the global annual turnover of the company applies to the identified infringement, considering Uber's turnover. The annual turnover amounts to €34.235 billion, so the maximum fine for the infringement is €1.369 billion.

171.

Based on the above considerations, the AP sets the fine amount for the identified infringement at €290 million. This is below the legal maximum, so there is no exceeding of that limit.

5.3.5

Step 5: Assessment of the requirements of effectiveness, proportionality, and deterrence

172.

Finally, it must be assessed whether the fine is effective, proportionate, and deterrent. Furthermore, the administrative fine, given the circumstances of the case, should not lead to an disproportionate outcome.

173.

The Guidelines stipulate that the imposition of an administrative fine can be considered effective if it achieves the purpose for which it was imposed. The purpose may be to punish unlawful behavior, as well as to promote compliance with applicable regulations. Given the above considerations regarding the nature, seriousness, and duration of the infringement, as well as the aggravating and mitigating circumstances of Article 83, second paragraph, GDPR, the AP is of the opinion that the present administrative fine achieves both objectives and is therefore effective and deterrent.

174.

The AP further believes that the imposition of the fine and its amount, due to the seriousness of the infringement and the size of the company, is not disproportionate. Uber has indicated in its views that the imposition of an administrative fine would lead to disproportionate consequences for Uber, as any notification about the fine to the New York Stock Exchange could have significant consequences for the share price of Uber. However, the AP does not see this as a reason to consider the fine disproportionate. While it cannot be ruled out that the fine may have some influence on the share price of Uber, it has not been demonstrated that this influence is such that the fine must be considered disproportionate. It is also important that the amount of the fine must be sufficiently deterrent and must reflect the nature and seriousness of the infringement. In the opinion of the AP, no other special circumstances have occurred in this regard that would render the fine disproportionate.

175.

The AP further notes the following regarding the AP Fine Policy Guidelines 2019. If the AP had to impose a fine based on this policy, it would have seen reason to apply Article 8.4 of the AP Fine Policy Guidelines 2019, given Uber's global turnover and thus the large scale of its status as an offender. The determination of fine amounts within the fine bandwidth of the AP Fine Policy Guidelines 2019 would not lead to an appropriate punishment that is effective, proportionate, and deterrent. The conclusion is that the AP would have imposed a fine of the same amount under the AP Fine Policy Guidelines 2019.

Date

July 22, 2024

Our reference

[confidential]

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6. Decision

Fine

The Dutch Data Protection Authority (AP) imposes an administrative fine on Uber B.V. and Uber Technologies Inc. jointly, for violation of Article 44 of the GDPR, in the amount of €290,000,000 (in words: two hundred ninety million euros).¹²⁵

Yours sincerely,

Dutch Data Protection Authority,

w.g.

Mr. A. Wolfsen

Chairman

Legal Remedies Clause

If you disagree with this decision, you may submit a notice of objection to the Dutch Data Protection Authority within six weeks of the date of dispatch of the decision, either digitally or on paper. Pursuant to Article 38 of the GDPR, the submission of a notice of objection suspends the effect of the decision to impose the administrative fine. For submitting a digital objection, see www.autoriteitpersoonsgegevens.nl, under the heading Contact, item “Objection or complaint about the AP.”¹²⁶

The address for submitting on paper is:

Dutch Data Protection Authority

P.O. Box 93374

2509 AJ The Hague.

Please indicate on the envelope ‘Awb-objection’ and include ‘notice of objection’ in the title of your letter.

Your notice of objection should include at least:

- your name and address;
- the date of your notice of objection;
- the reference mentioned in this letter (case number), or attach a copy of this decision;
- the reason(s) why you disagree with this decision;
- your signature.

¹²⁵ The AP will refer the claim to the Central Judicial Collection Agency (CJIB). The AP will only proceed to collect the fine after any legal (subsequent) proceedings regarding this decision have been concluded.

¹²⁶ The direct URL is .